

SPRING 2026

AUDIT PARTNER PULSE SURVEY



July 2026

CAQ

About the Center for Audit Quality

The CAQ champions the public interest in the capital markets by:

- + Elevating the quality, credibility, and transparency of public company audits;
- + Advancing critical issues affecting public company audits;
- + Driving innovation in assurance; and
- + Providing a collaborative forum for capital market stakeholders to address evolving needs and challenges.

As the voice of the public company audit profession, we work to instill trust in corporate reporting and the integrity of the auditing process, ultimately empowering investors, companies, and society as a whole.

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Introduction

The Spring 2026 Audit Partner Pulse Survey reflects a business environment shaped by both momentum and uncertainty. Companies are operating against a backdrop of ongoing geopolitical instability and an evolving political landscape, with U.S. midterm elections on the horizon. Financial markets have shown strength, with the S&P 500 reaching record highs, while new and emerging areas such as digital assets continue to draw regulatory attention despite limited adoption in practice.

The Spring 2026 survey captures a shift in how companies are responding to a complex and fluid environment. Rather than remaining on hold, the results show organizations moving forward more deliberately. Audit partners report that companies are navigating a mixed economic outlook, engaging more directly on regulatory change, and making targeted investments in areas that they view as critical to future growth.

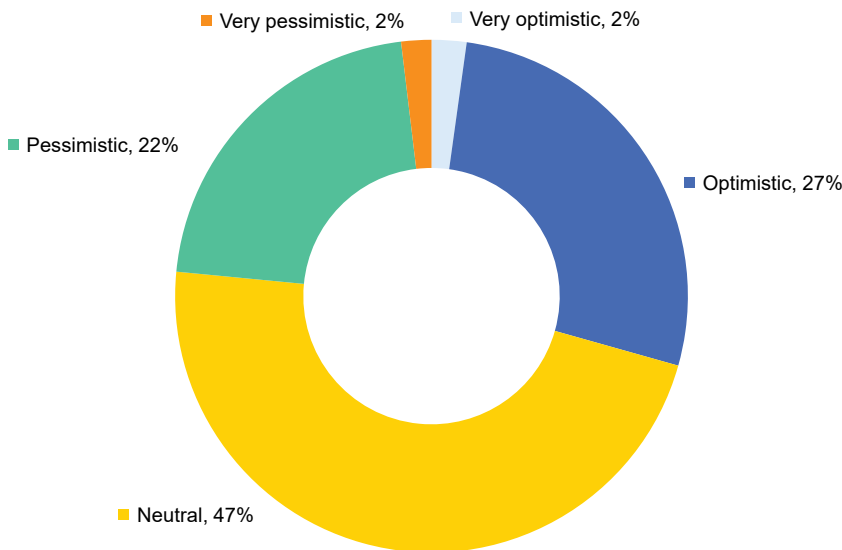
In this context, audit partners offer a distinct view across industries and market capitalizations, informed by their work with a broad range of public companies. Their unique perspective provides insight into how organizations are responding in real time, including where they are advancing and where challenges are still emerging.

Executive Summary

A NEUTRAL OUTLOOK, BUT NOT A STATIC RISK ENVIRONMENT

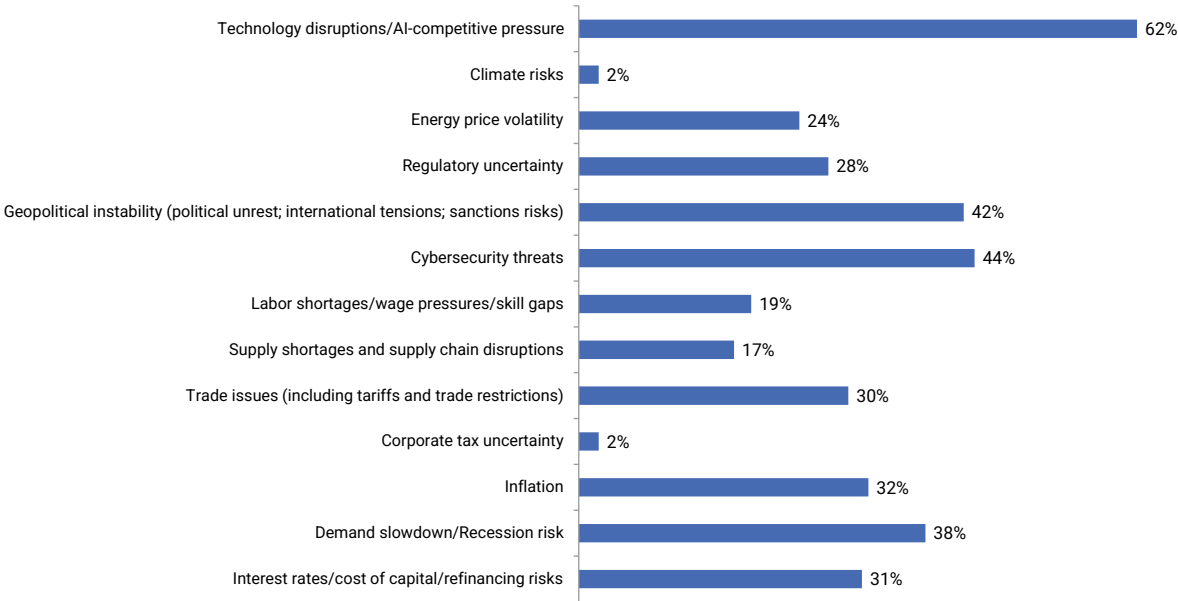
Audit partners report that views on the U.S. economy are largely unchanged from Fall 2025, with a plurality continuing to describe their outlook as neutral. This suggests that overall sentiment has held consistent despite ongoing economic and geopolitical developments, but at the same time, the persistence of a neutral outlook can signal a larger sense of uncertainty as companies weigh a vast range of possible risks and outcomes without a clear sense of direction.

Overall, how would you characterize your outlook regarding the US economy over the next 12 months?



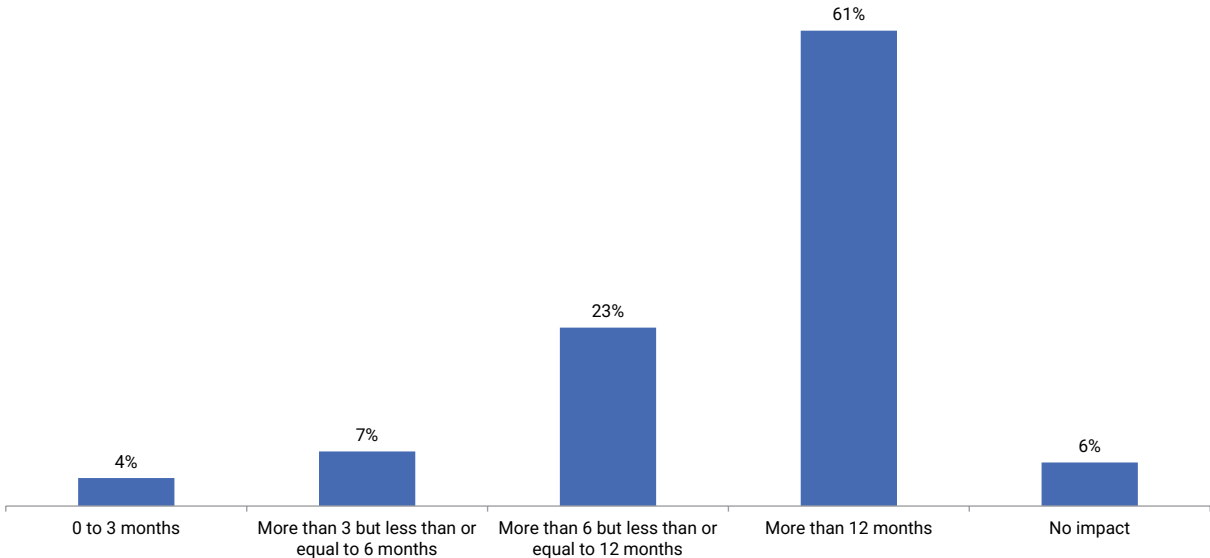
Overall economic sentiment remains largely neutral, but the perceived risk landscape is changing. Audit partners identify technology disruption and AI-related competitive pressure as the leading economic risk facing companies in their primary industry sectors, followed by cybersecurity concerns, geopolitical instability, and recession risk. Trade tensions and regulatory uncertainty were cited less frequently than in our Fall 2025 survey.

What do you believe are the largest economic risks facing companies in your primary industry sector over the next 12 months? (Select all that apply)



Five years after inflation erupted in the U.S. economy stemming from COVID-era issues in 2021, it remains a key factor shaping business decisions today. A growing share of audit partners expect inflation to influence their industry for more than 12 months, indicating that previous trends are continuing as companies navigate a prolonged period of cost and pricing pressure.

How long, if at all, do you anticipate inflation to have an impact in your industry sector?



These expectations suggest that organizations continue to adjust operating models, pricing strategies, and capital allocation decisions in response to sustained input cost uncertainty. The release of the updated [Consumer Price Index](#) during the data collection period for this survey may also have reinforced these views, as new inflation signals can influence how respondents assess both expected duration and intensity of inflation.

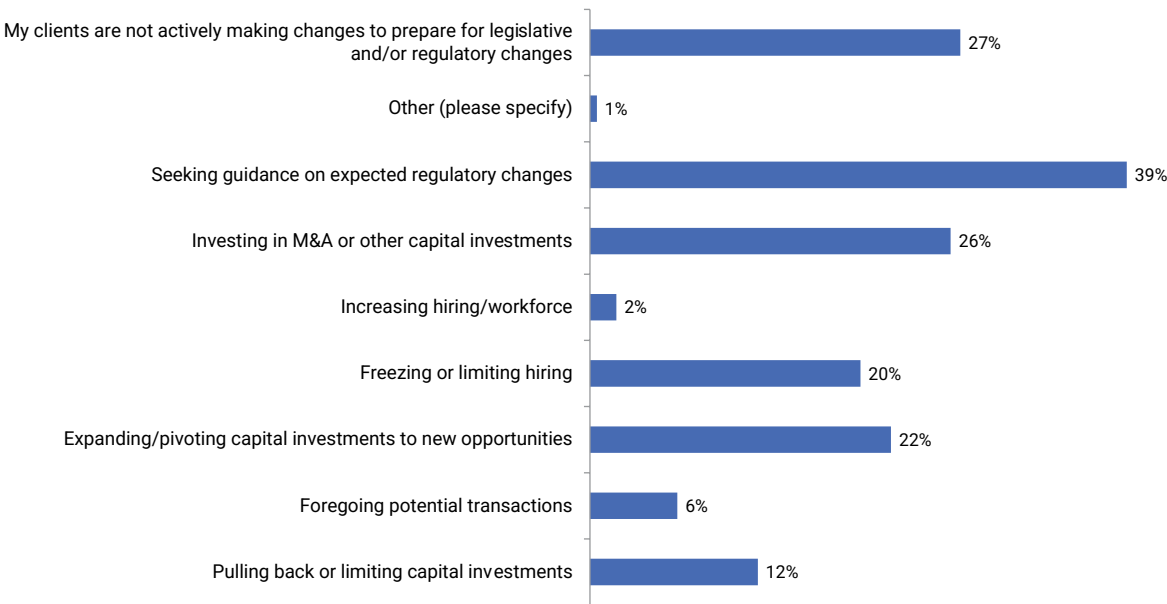
Taken together, these shifting economic conditions influence how companies approach their planning and decision-making, including how they respond to an evolving regulatory landscape.

FROM WAITING TO ENGAGING ON REGULATION

Respondents indicate that many companies are increasingly proactive regarding regulatory change. Rather than remaining on the sidelines, many are actively seeking guidance on expected legislative and regulatory developments, signaling a shift toward more preemptive planning.

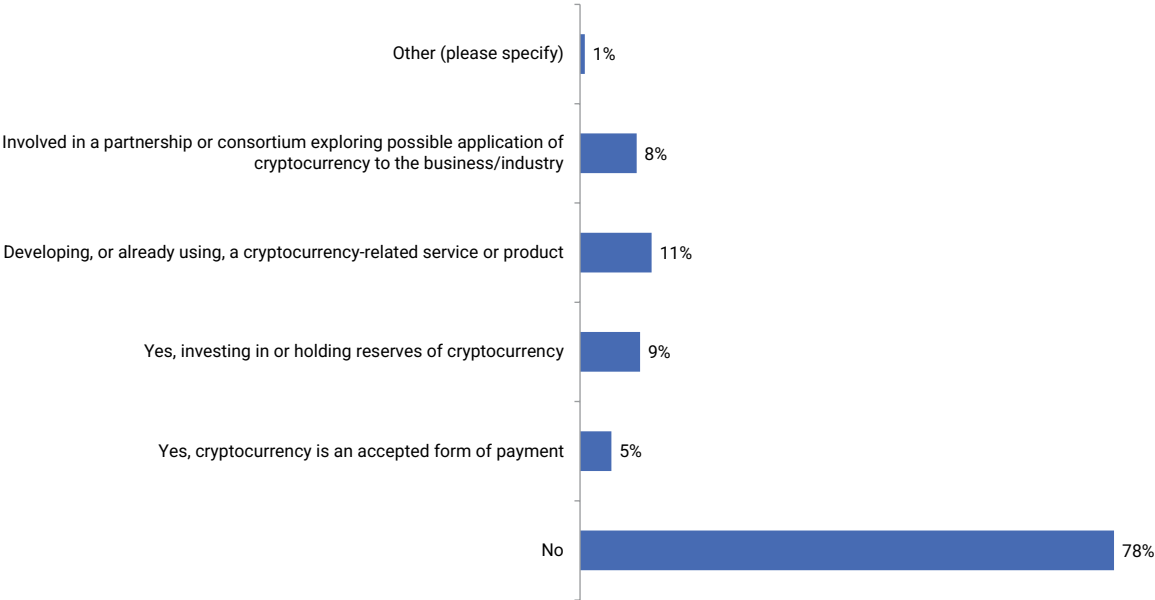
This is manifesting in a range of business strategies. Some companies are reportedly moving forward with capital investments or mergers and acquisitions, while others are adjusting hiring plans or taking a more cautious approach. A portion of companies are still not making significant changes, highlighting that responses to regulatory developments vary greatly across organizations.

How, if at all, are your clients preparing for legislative and/or regulatory changes potentially impacting capital markets? (Select all that apply)



Despite companies pursuing varied business strategies amidst ongoing regulatory change, overall exposure to digital assets remains limited even as regulatory attention on cryptocurrency and similar assets increases. According to the [Federal Reserve Board's 2025 Survey of Household Economics and Decisionmaking](#), 10% of Americans, over 30 million people, now invest in or use some form of cryptocurrency. This number has fluctuated in recent years, and our survey results follow a similar trend in indicating that widespread adoption has not significantly expanded at an organizational level. This cautious posture persists even as federal policymakers move toward a more defined regulatory framework. While momentum is building in Washington, as evidenced by [recent implementation of the GENIUS Act by the FDIC](#), many public companies continue to sit on the sidelines rather than actively engage with digital assets.

Do clients in your primary industry sector have exposure to digital assets, including cryptocurrency? (Select all that apply)

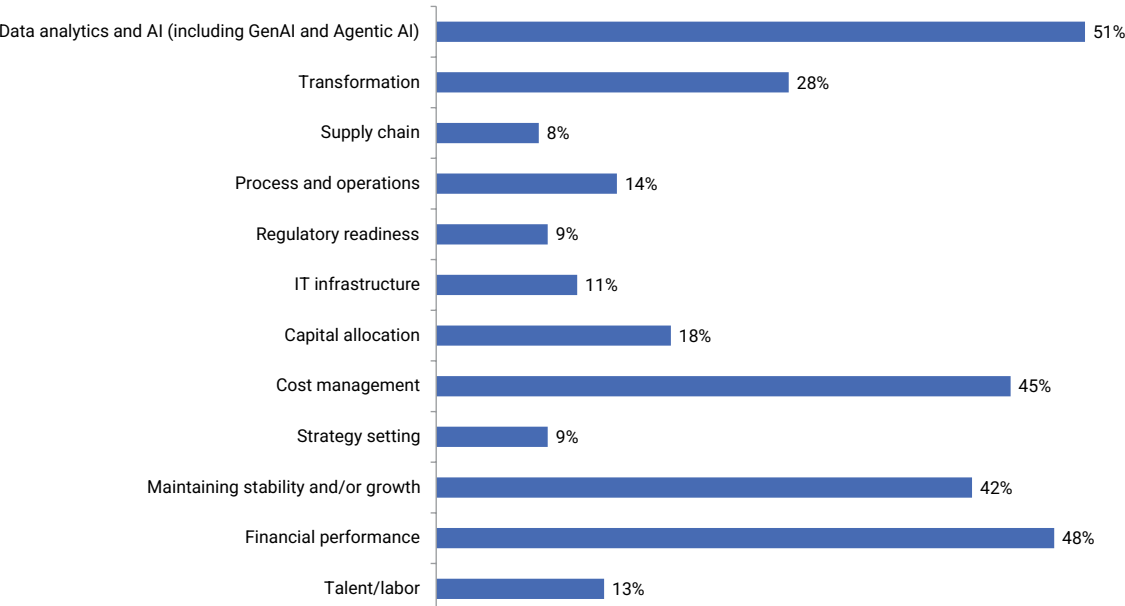


Alongside these shifts in regulatory engagement, companies are also reassessing their strategic priorities, with technology, particularly AI, becoming a more central focus.

AI MOVES FROM EMERGING TOPIC TO BUSINESS PRIORITY

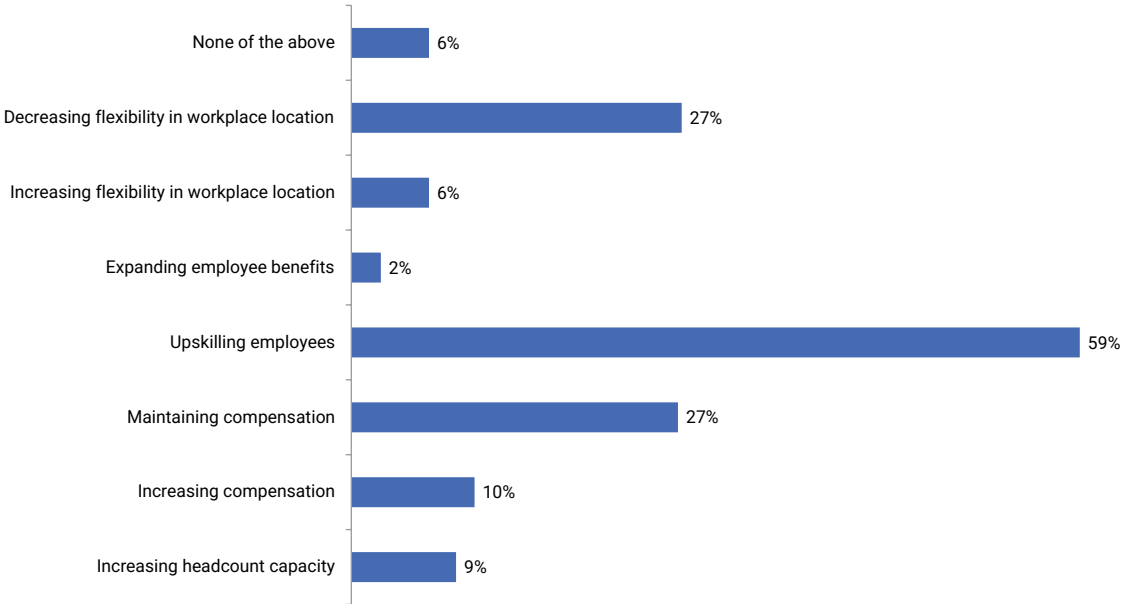
Audit partners identify artificial intelligence as an increasingly important business priority. Compared to prior survey periods, AI and data analytics now rank among companies’ top strategic priorities for the next 12 months, reflecting a broader shift toward technology-enabled growth and efficiency.

With respect to companies in your primary industry sector, what are their top three priorities for the next 12 months? (Select up to three from list below)



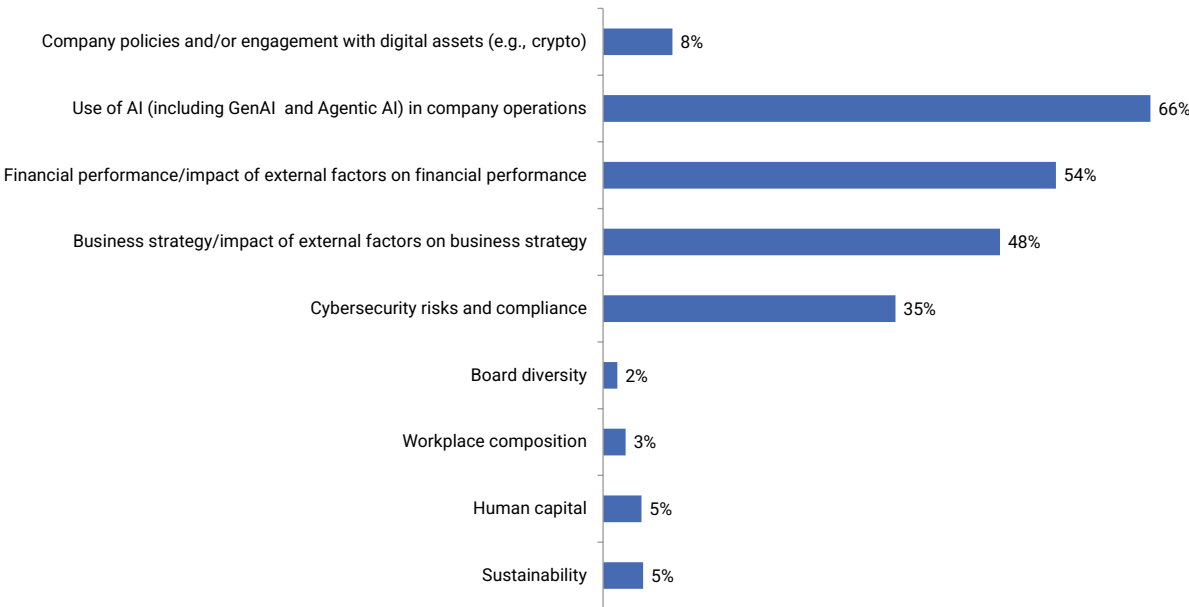
Organizations are also adjusting their workforce strategies in response. Upskilling employees is one of the most common actions companies are taking, suggesting a focus on building internal capabilities to leverage new technologies.

What actions are companies in your primary industry sector taking with respect to human capital? (Select up to three actions)



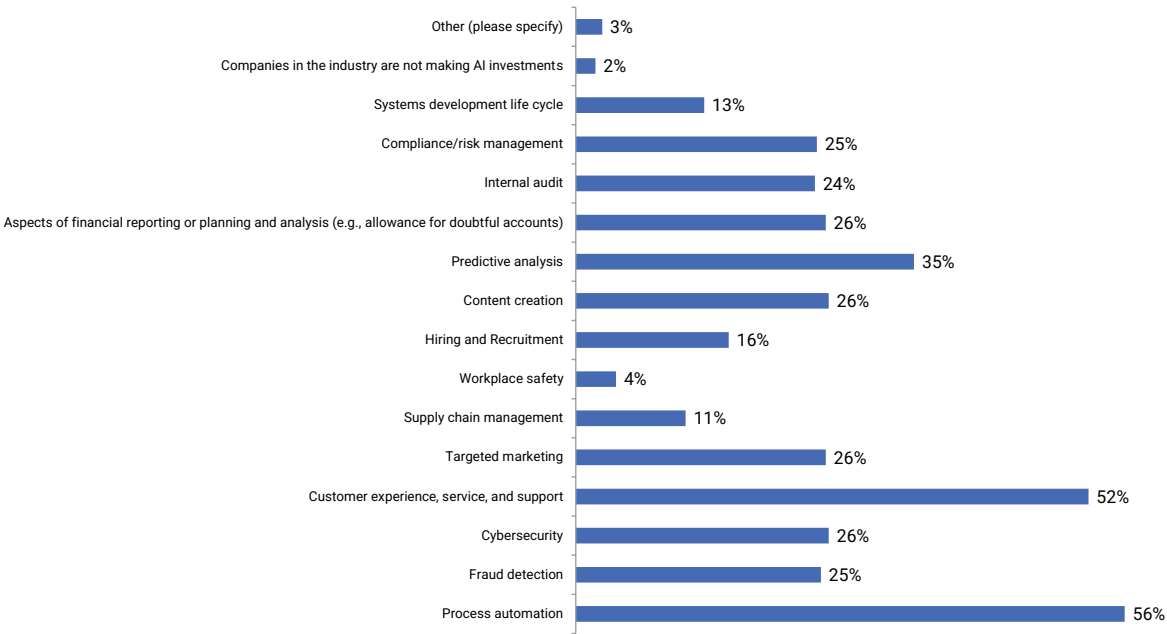
As companies increase their use of AI, they are also expanding related disclosures. Areas such as the use of AI in operations and financial reporting are receiving greater attention, pointing to a growing recognition of the need for transparency as these technologies are adopted more broadly.

What areas of disclosure do you see companies in your primary industry sector voluntarily increasing or enhancing over the next 12 months? Please select all that apply.



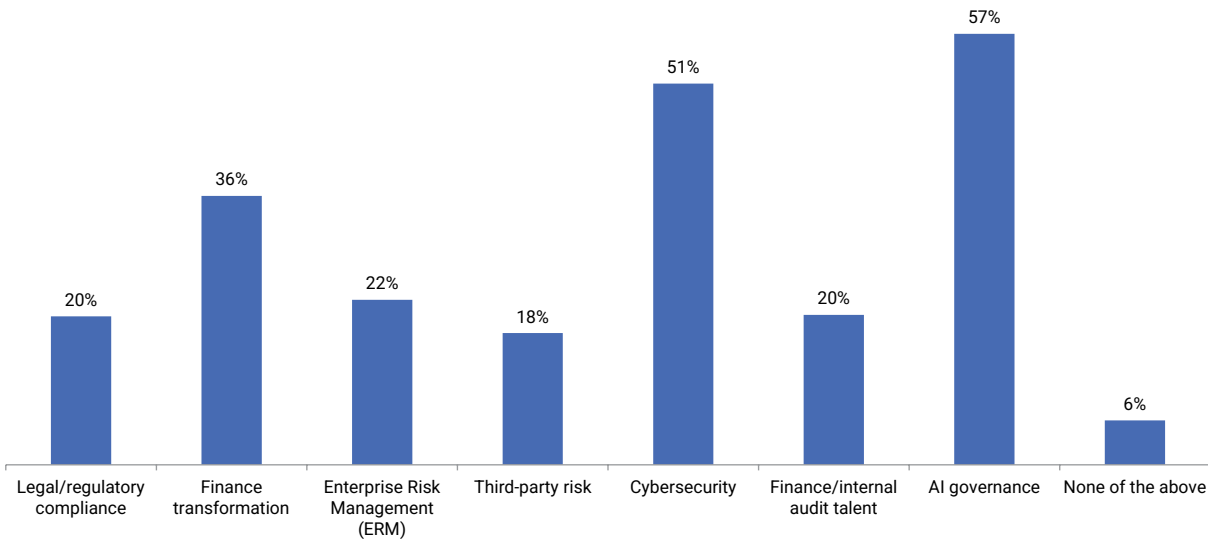
In practice, companies are using AI across a range of functions. While the overall mix of use cases remains relatively consistent, there is some increase in applications related to financial reporting, planning, and analysis, indicating that AI is becoming more integrated into core business processes.

How have companies in your primary industry sector utilized AI technologies? Select all that apply.



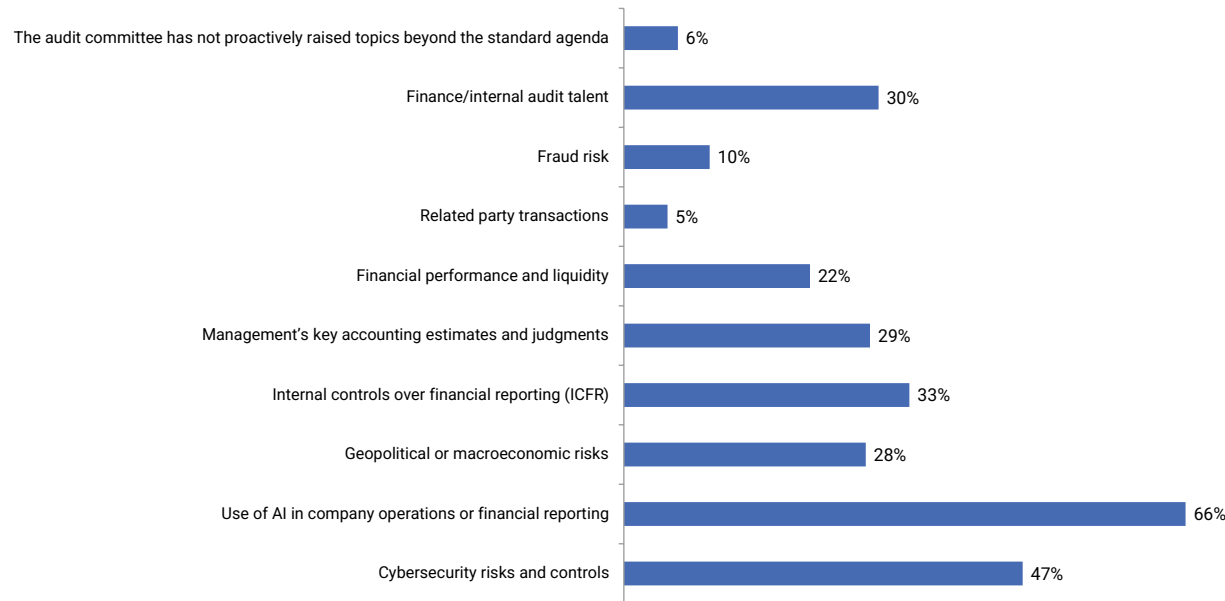
As AI use cases continue to expand in breadth, audit committees are playing an important role in implementation. When asked which areas are presenting the biggest challenges for audit committees, AI governance topped the list, with cybersecurity close behind.

Across the audit committees you work with, which of the following areas are presenting the biggest challenges? Select up to three top challenges below.



Continuing the trend of more preemptive planning amidst regulatory uncertainty, nearly 70% of respondents indicated that the audit committee at their largest client has initiated conversations around the use of AI in company operations or financial reporting, and almost half have discussed cybersecurity risks and controls.

Over the last 12 months, which of the following topics has the audit committee at your largest client proactively raised with you? Select all that apply.



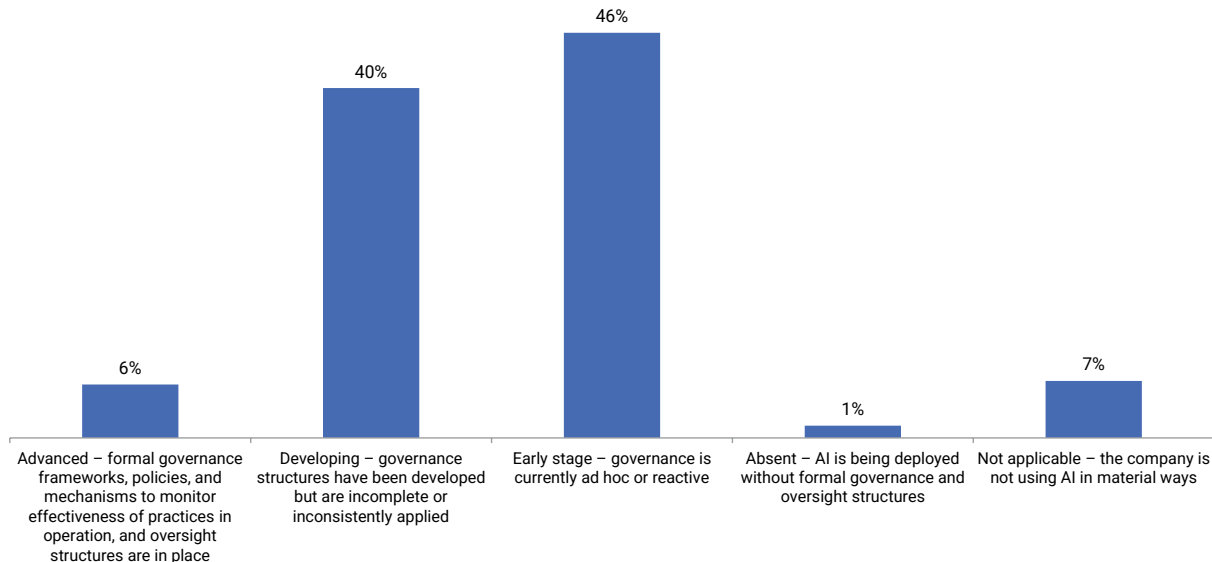
According to our [analysis of SEC Form 10-Ks](#) for S&P 500 companies as of June 2025, 90% of companies mentioned AI-related information in their form 10-Ks representing an increase of nearly 25% since 2023.

As AI adoption expands, attention is increasingly turning to how these technologies are governed and overseen within organizations.

THE GOVERNANCE AND CONTROLS GAP WIDENS

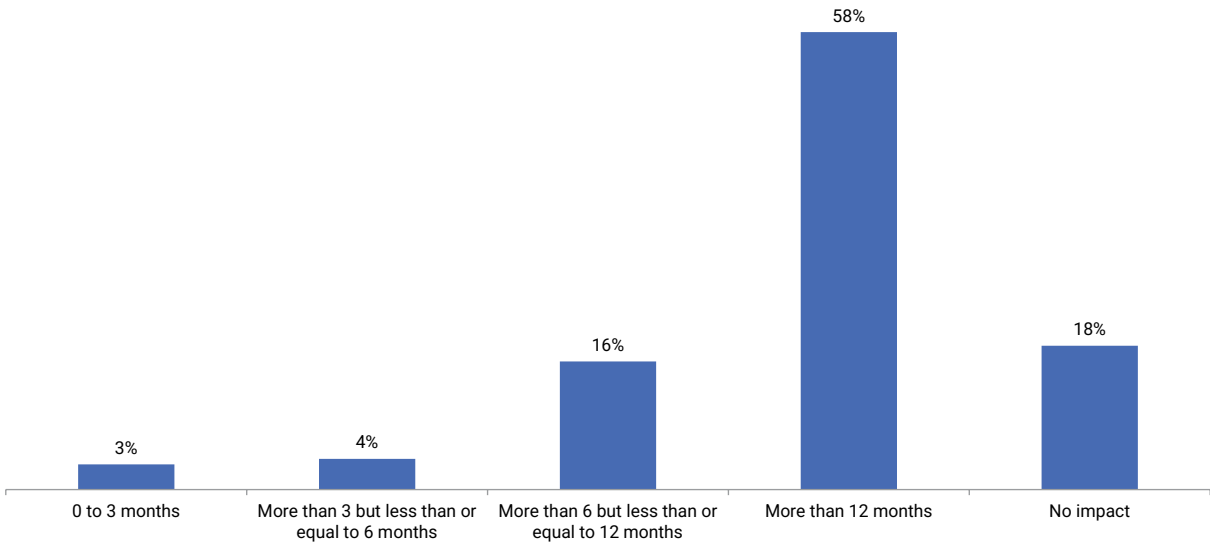
According to our respondents, most companies remain solidly in the early stages of AI governance. Audit partners indicate that formal governance frameworks are still developing, and many organizations are working to establish structures and processes even as they continue to expand their use of AI.

How would you characterize the maturity of AI governance at your largest client?



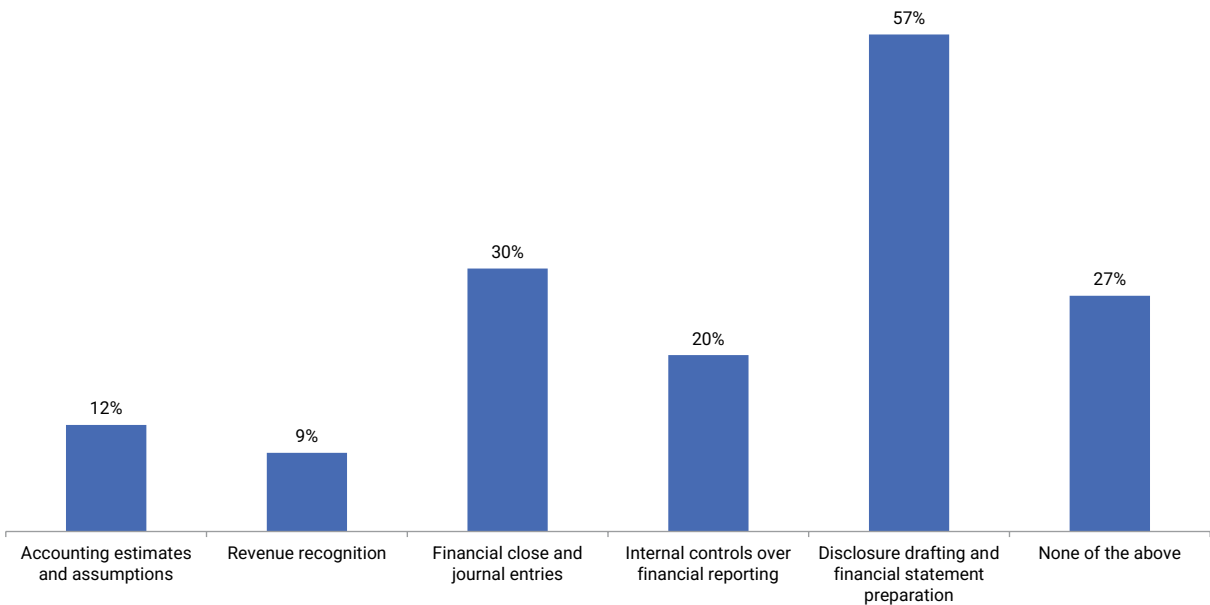
The early-stage development of these key governance structures becomes especially apparent when asking audit partners about the expected timeline of their most advanced clients to rely on AI to replace key ICFR controls: 58% said more than 12 months, while nearly 20% said their clients have no current plans to rely on AI in this area, indicating a more cautious approach.

How long do you anticipate it will take for your most advanced clients to rely on AI (including GenAI and Agentic AI) to replace key ICFR controls?



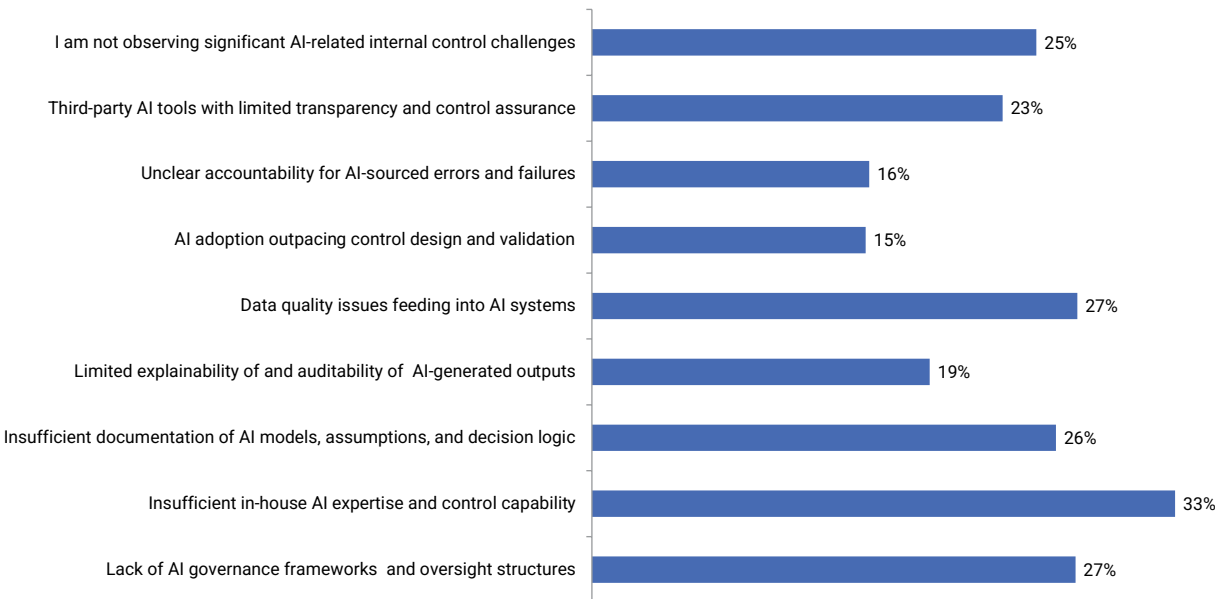
When asked where their most advanced clients were leveraging AI in financial reporting, areas like disclosure drafting and financial statement preparation and financial close and journal entries topped the responses at 57% and 30% apiece.

In what areas of judgment in financial reporting do you observe your most advanced clients leveraging AI (including GenAI and Agentic AI)? (Select all that apply)



One key challenge in AI governance respondents noted is the lack of internal expertise. Many organizations report difficulty building the knowledge and capabilities needed to manage AI-related risks effectively, underscoring the importance of ongoing investment in talent and training. Companies continue to work through a range of internal control considerations, including documentation, explainability, accountability, and oversight of third-party tools, reflecting the integration of new technologies into existing systems of governance and internal control.

What are the most significant AI-related internal control challenges you are observing at your largest client? Select up to three from the list below.



As companies continue to experiment with where and how AI can be most effective, governance practices are evolving alongside those efforts. Resources like the CAQ's [Role of the Auditor in AI: Present and Future](#) highlight how organizations can strengthen oversight as these technologies scale, offering practical insight on emerging risks and controls. In this environment, independent audit teams serve as a critical check for company leadership, applying their expertise in risk assessment, controls, and assurance to help reinforce sound governance and build trust in the use of new and emerging technologies.

AI adoption is becoming mainstream faster than governance and talent models are maturing. These dynamics reinforce a broader pattern across the data, highlighting both forward momentum and the need for more structured approaches.

CONCLUSION

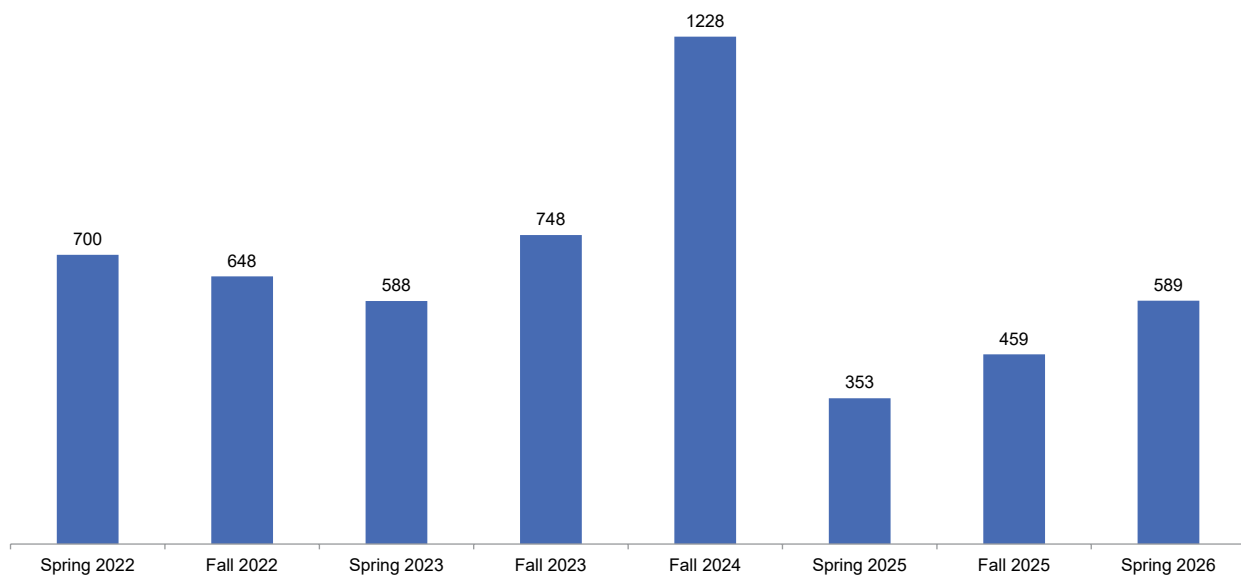
Across our survey findings, a consistent pattern emerges: companies are moving forward with greater confidence and urgency, but without fully established playbooks.

For auditors, company leadership, and audit committees, this environment requires balancing forward momentum with careful oversight. Ensuring that innovation is supported by appropriate governance, controls, and transparency will be critical to maintaining trust in financial reporting and corporate decision-making.

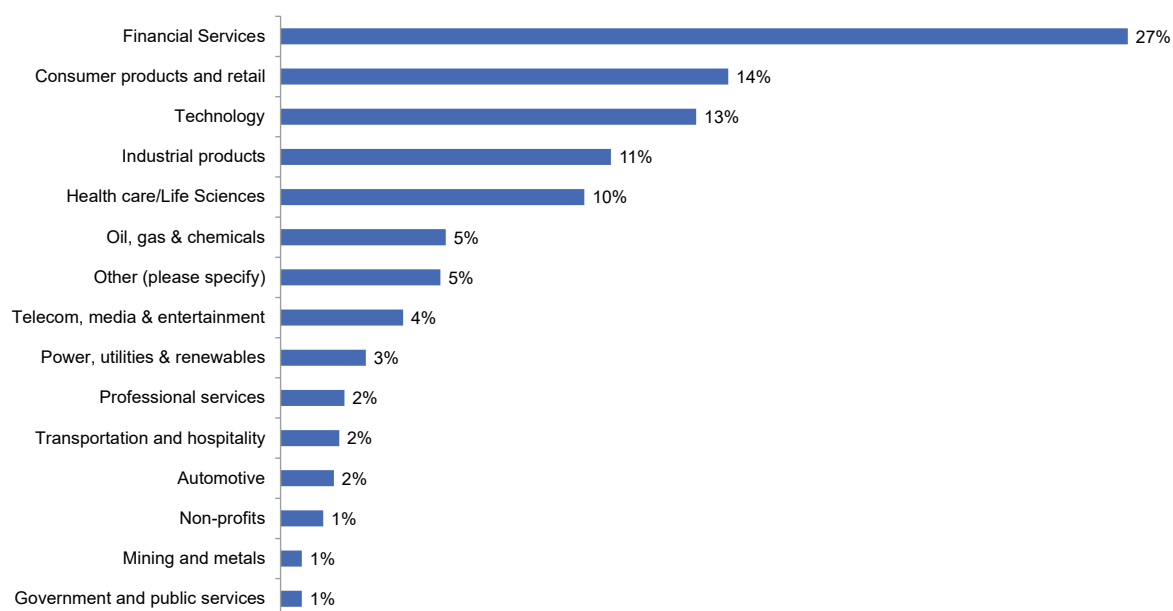
Appendix

All survey questions and responses

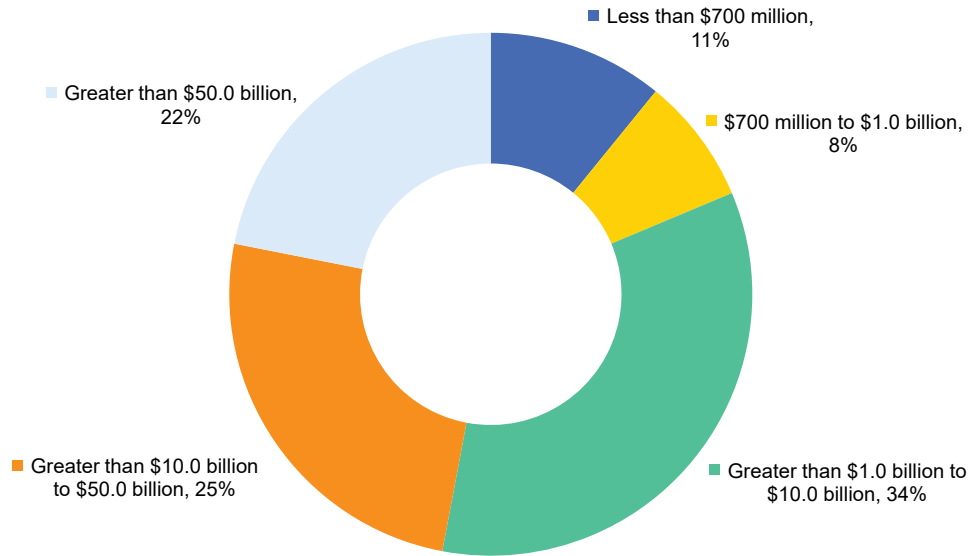
Count of respondents by Survey Period



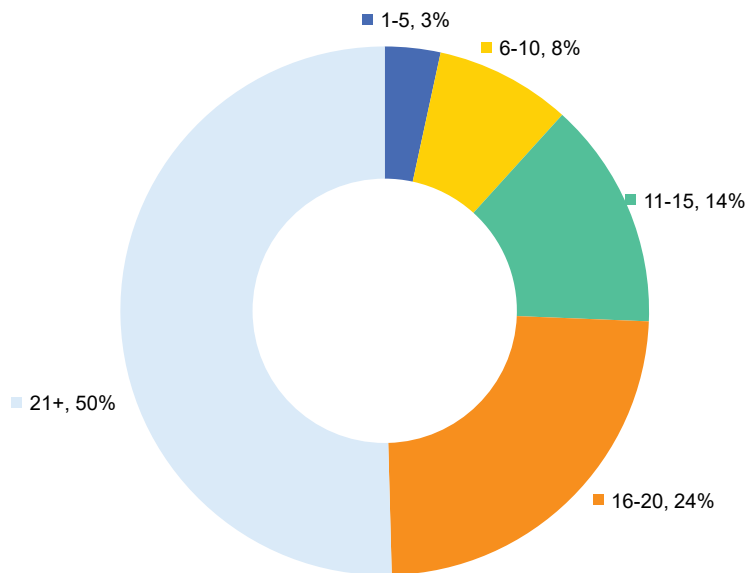
Within what industry sector do you specialize?



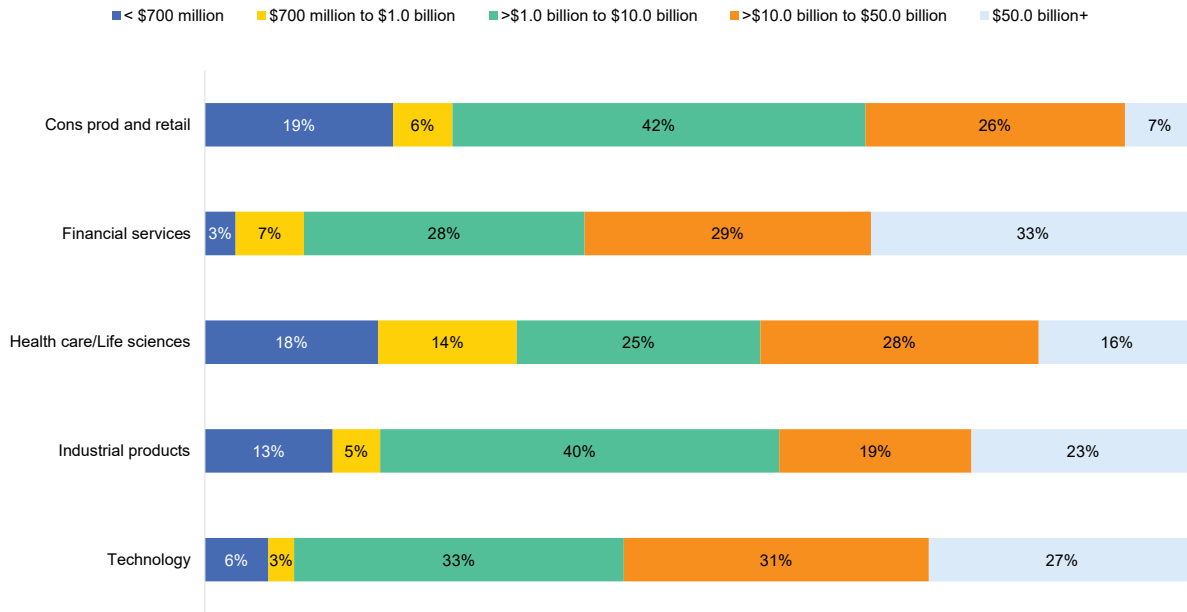
What is your current client's market capitalization?



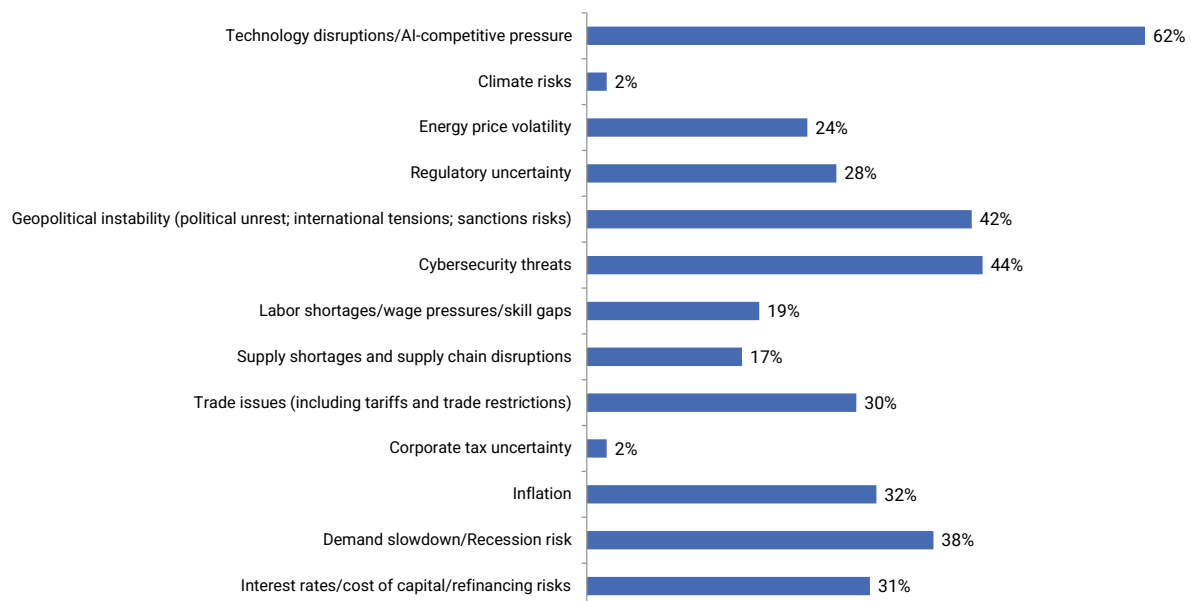
For how many years have you specialized in your primary industry sector?



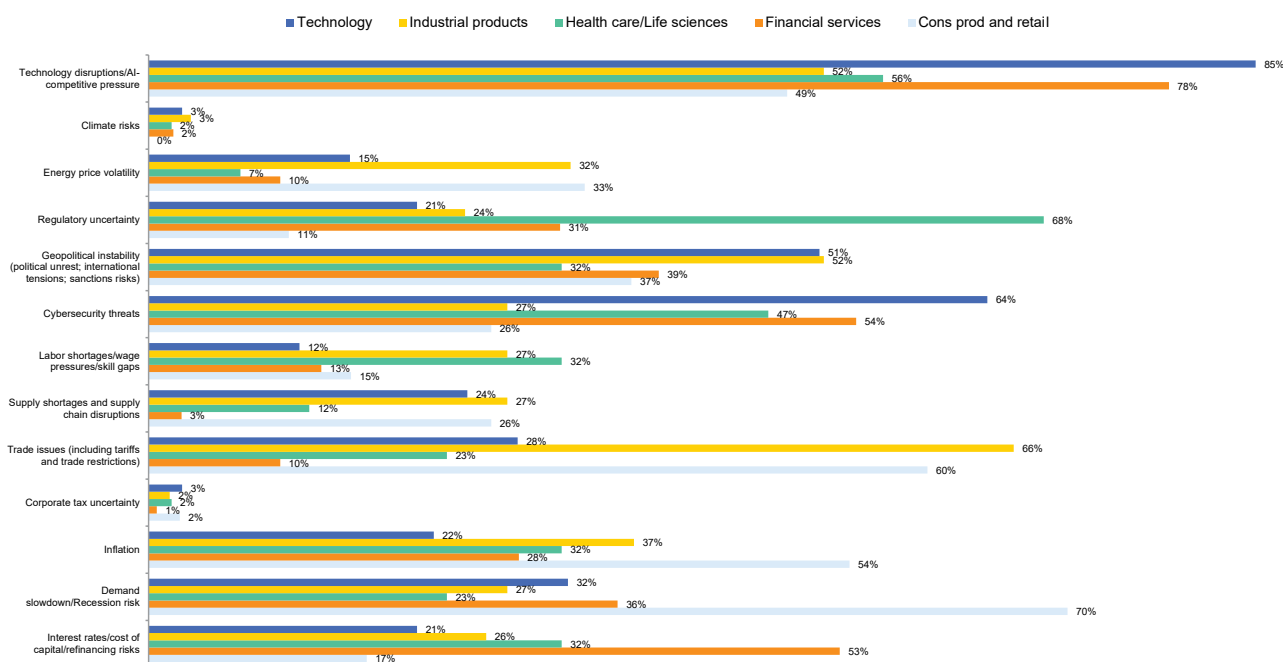
Top Five Industries by Market Capitalization



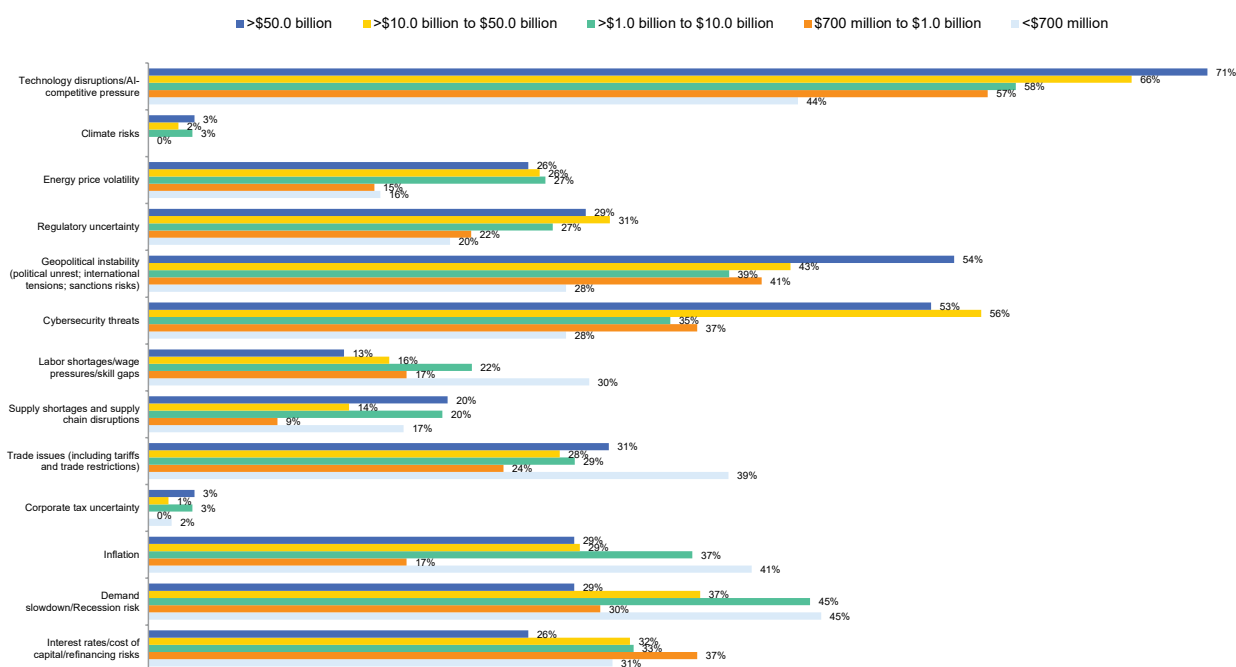
What do you believe are the largest economic risks facing companies in your primary industry sector over the next 12 months? (Select all that apply)



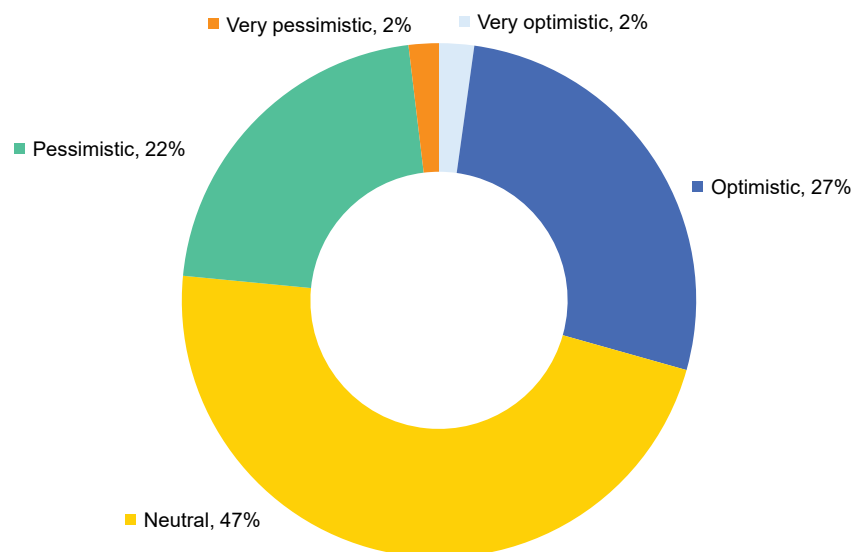
What do you believe are the largest economic risks facing companies in your primary industry sector over the next 12 months (Select all that apply)? (By Industry)



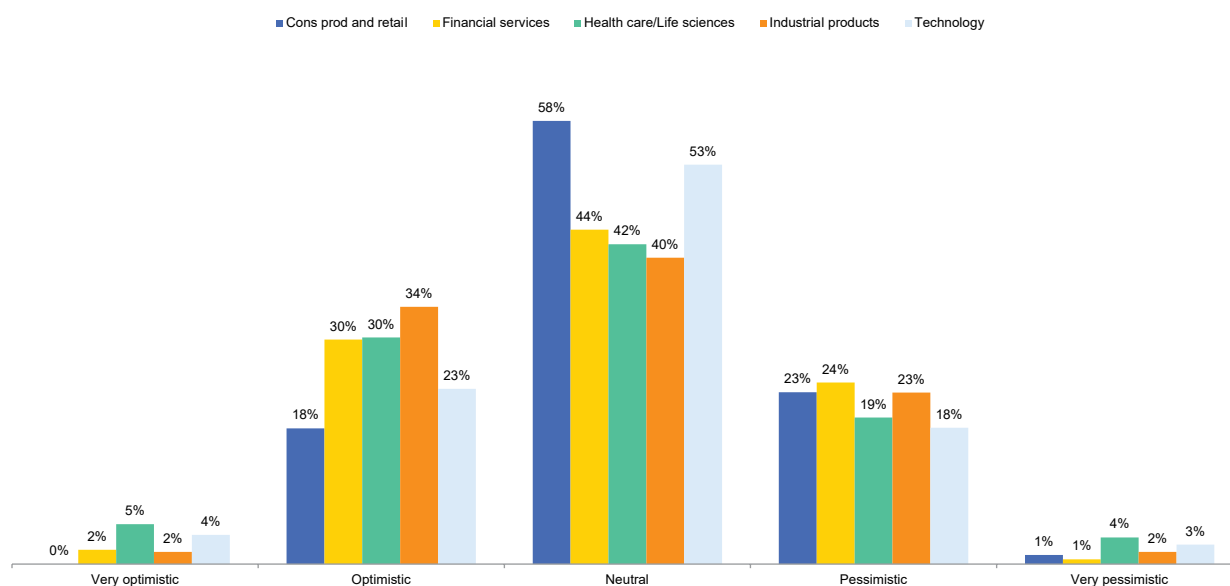
What do you believe are the largest economic risks facing companies in your primary industry sector over the next 12 months (Select all that apply)? (By Market Cap)



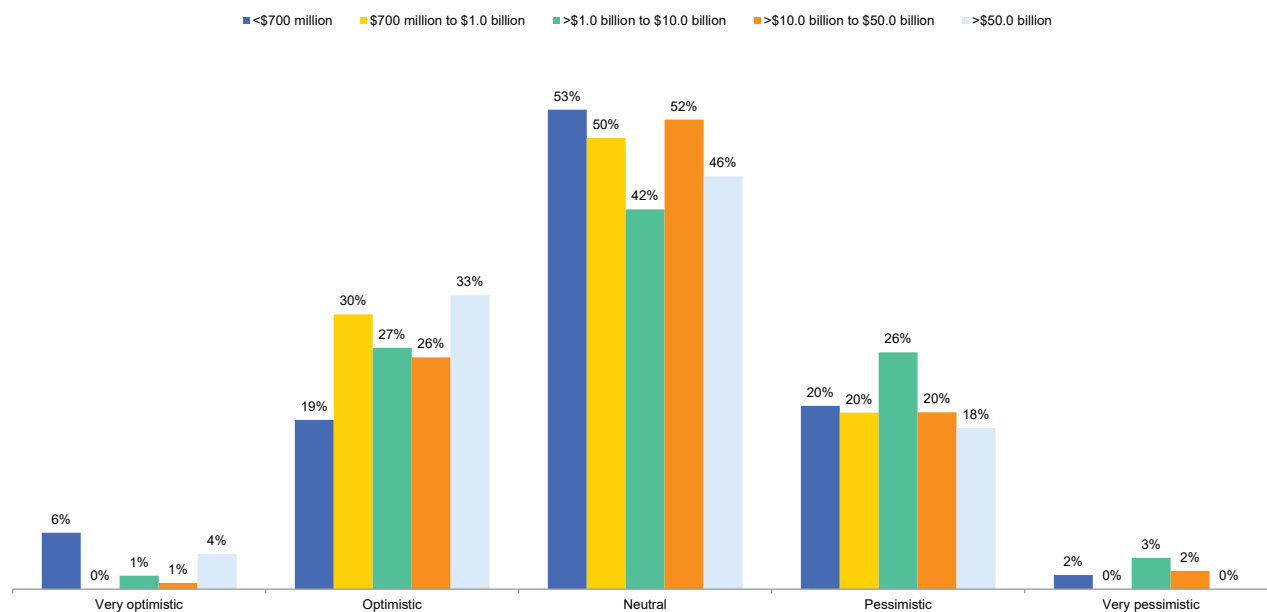
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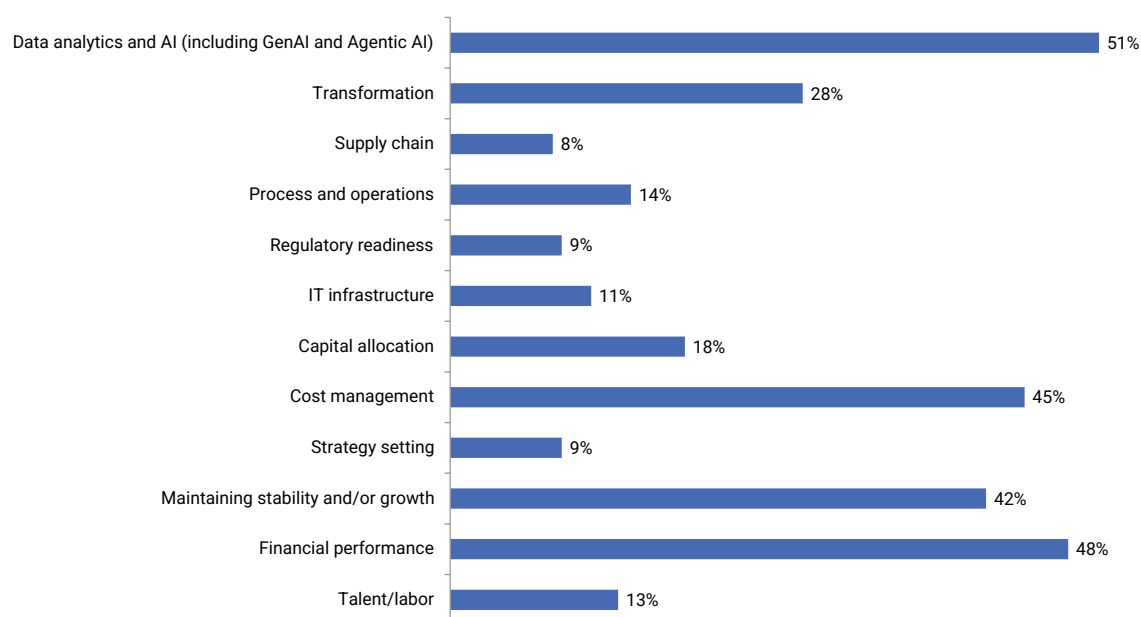
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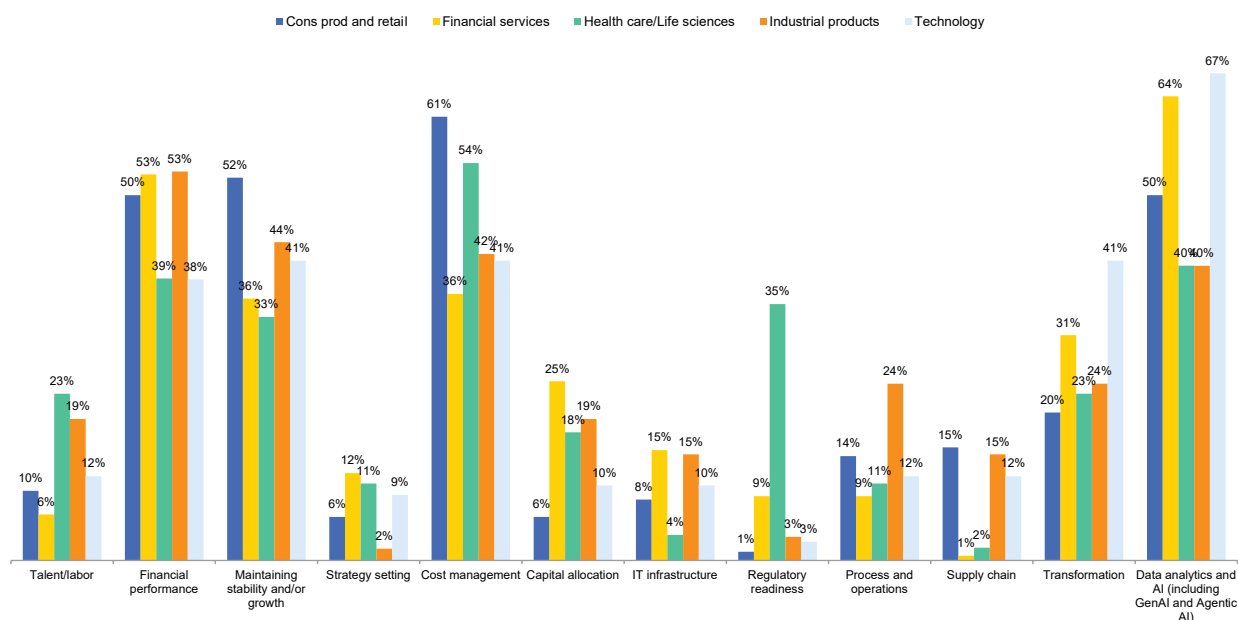
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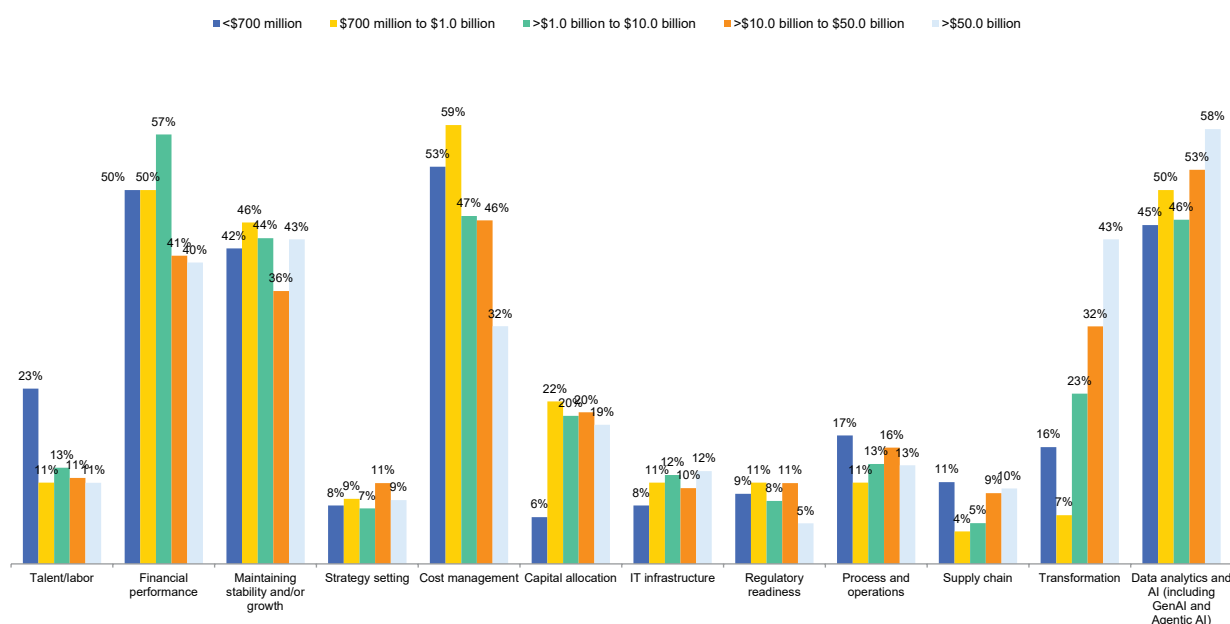
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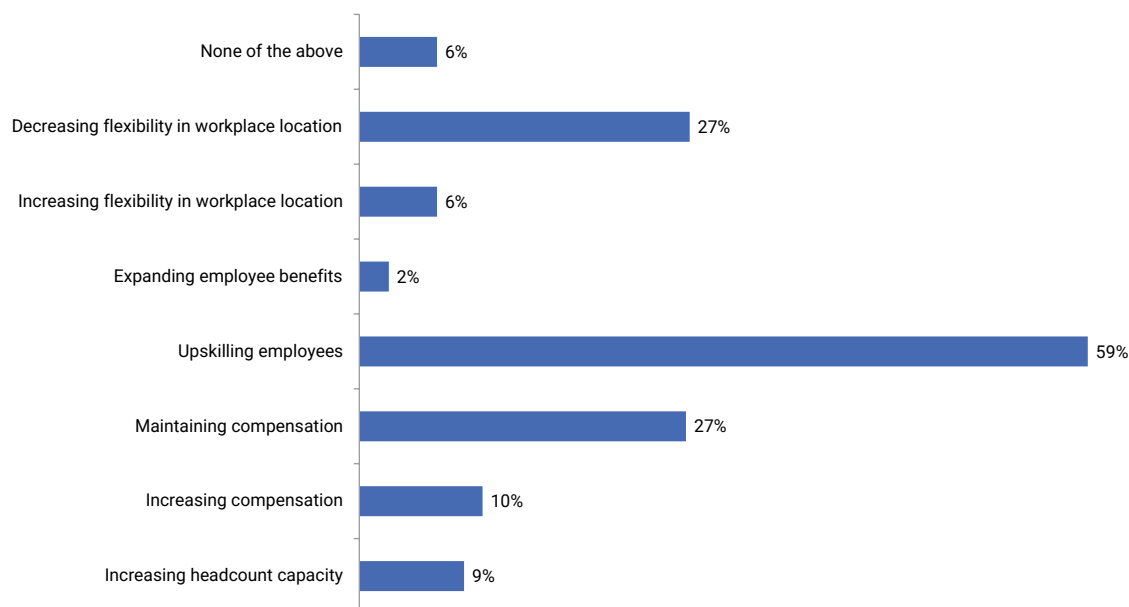
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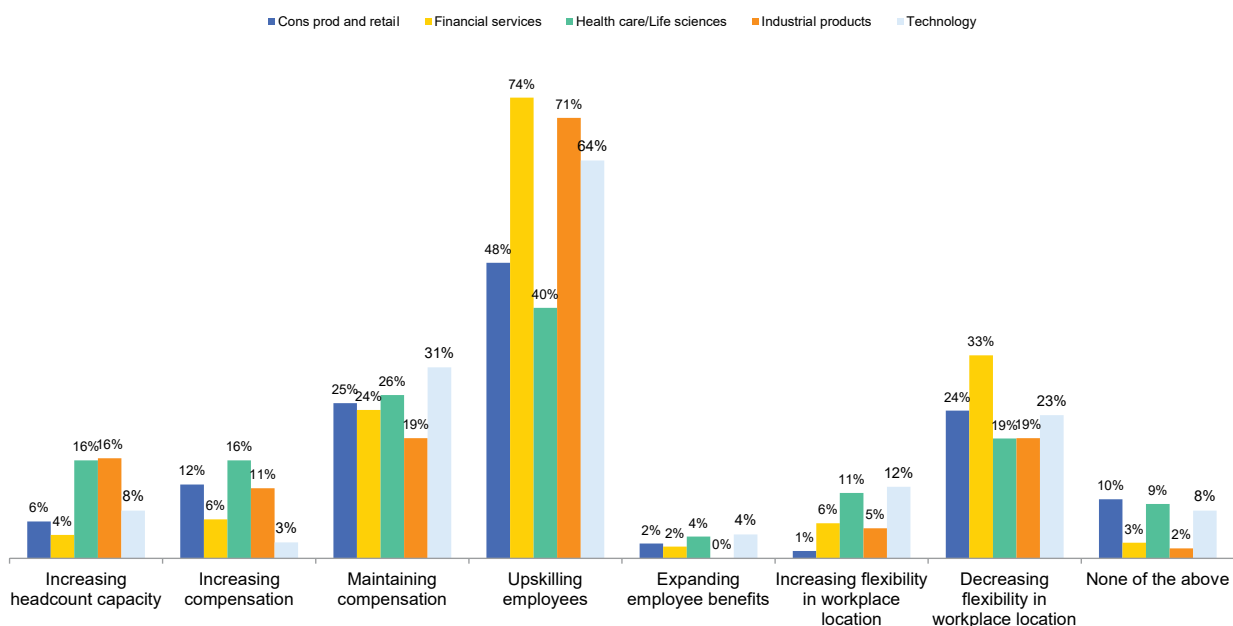
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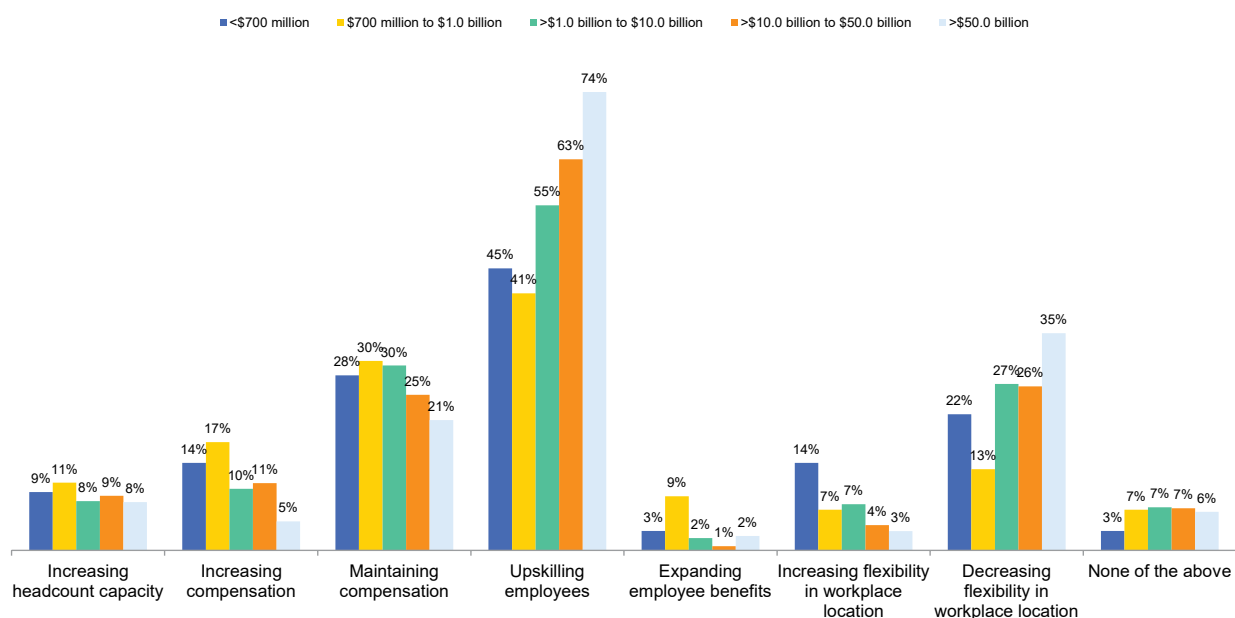
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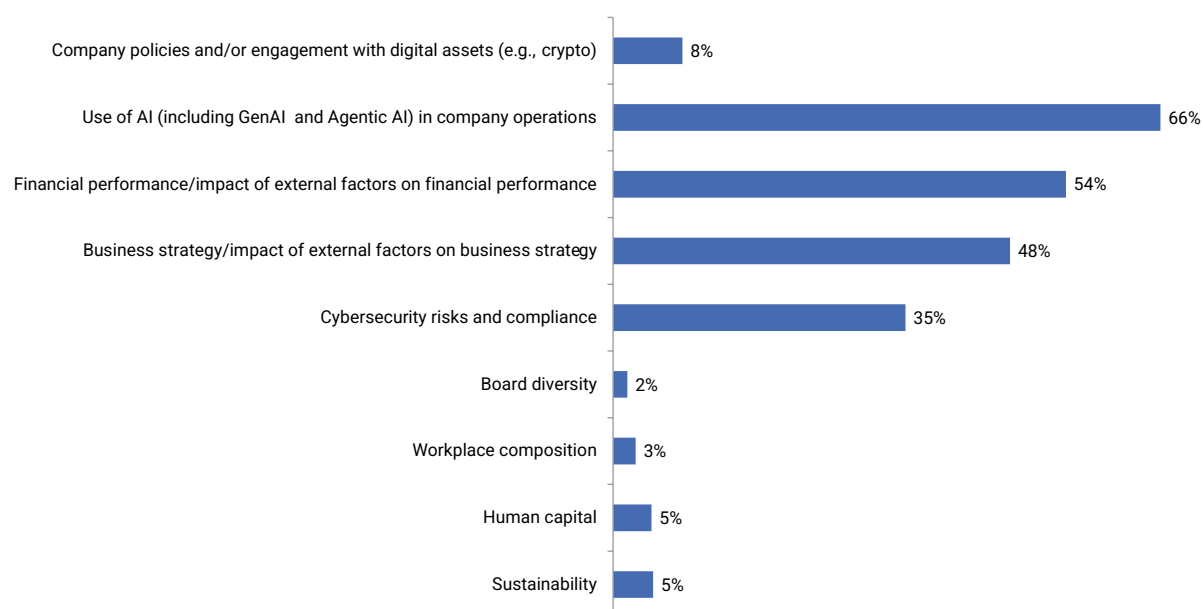
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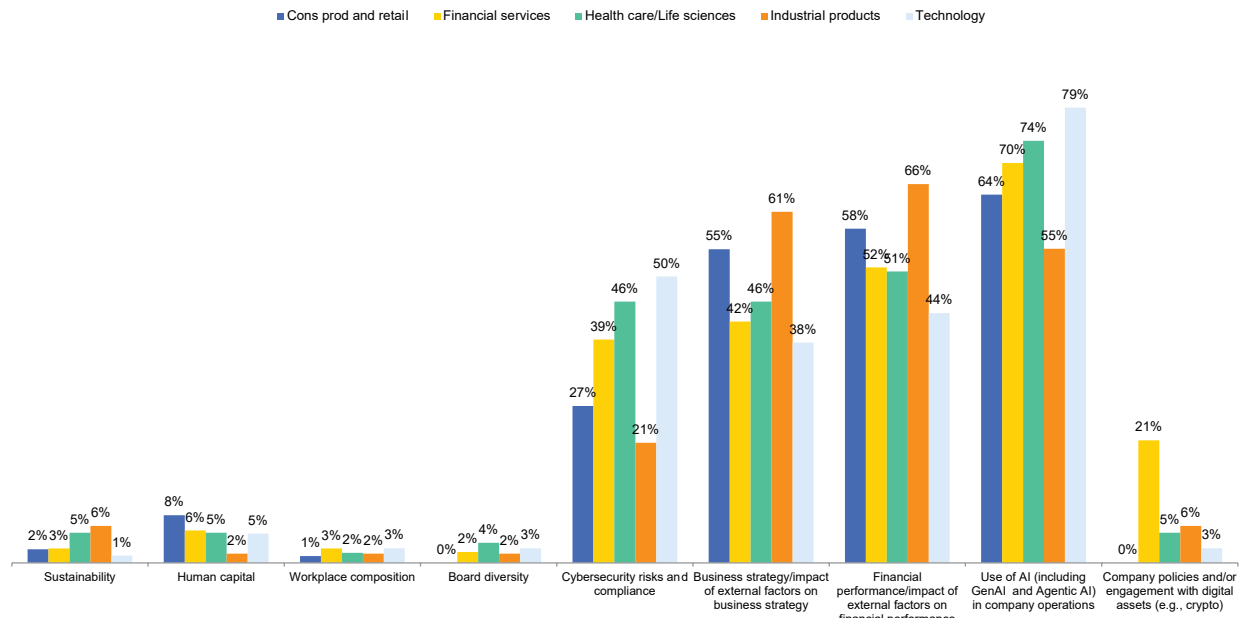
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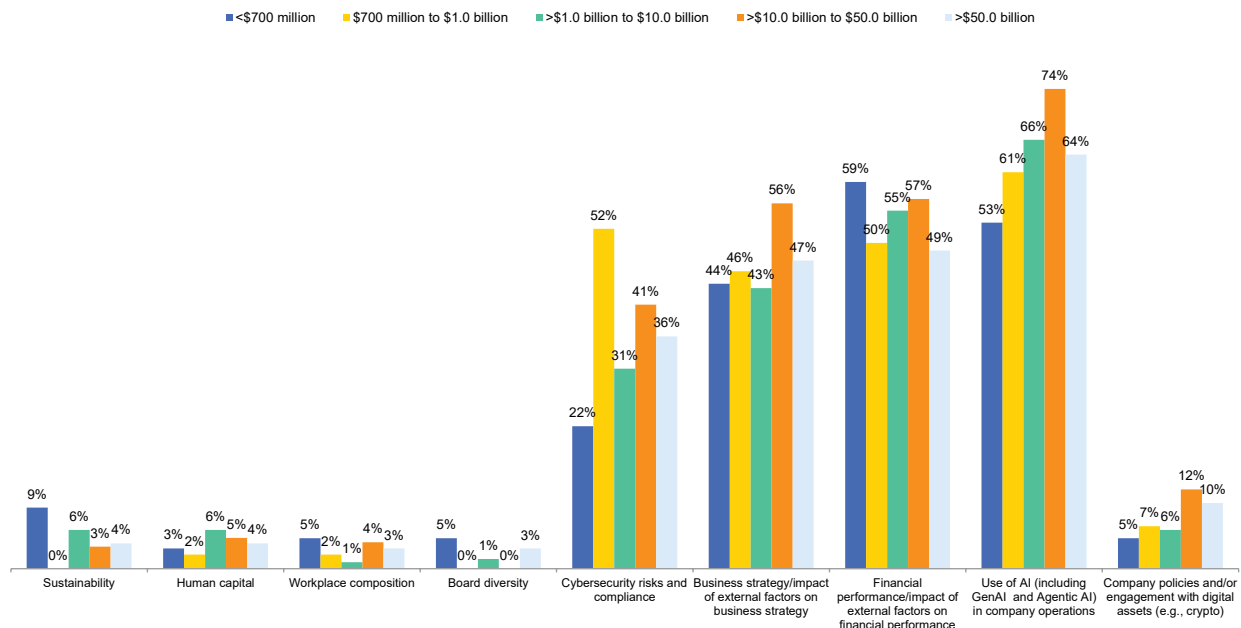
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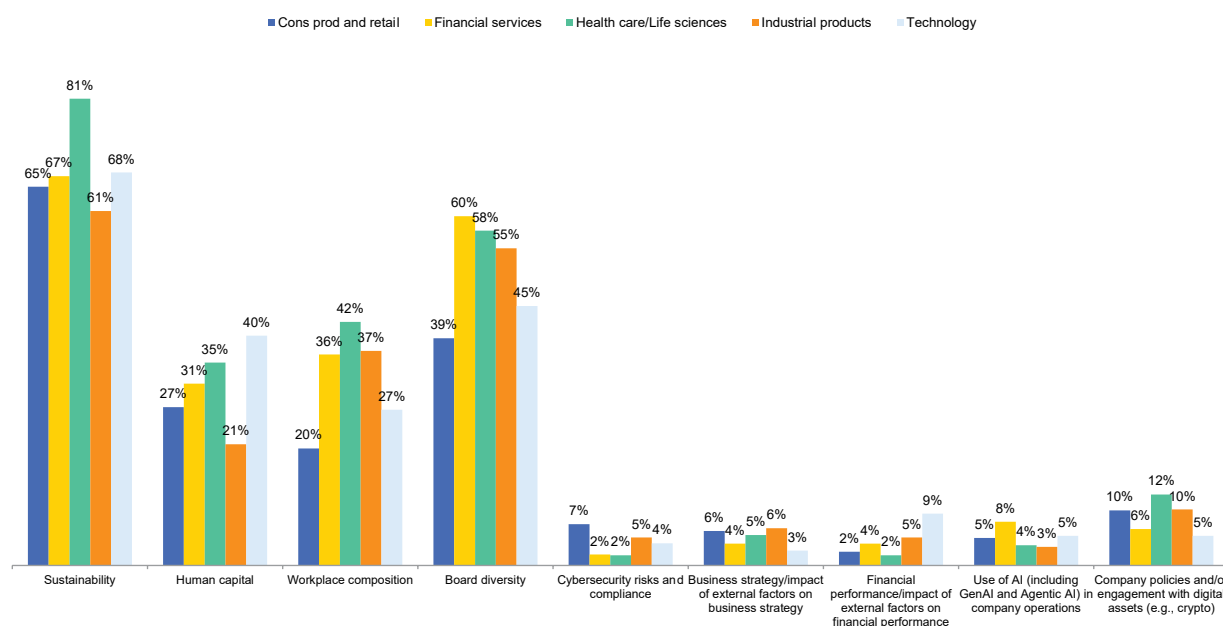
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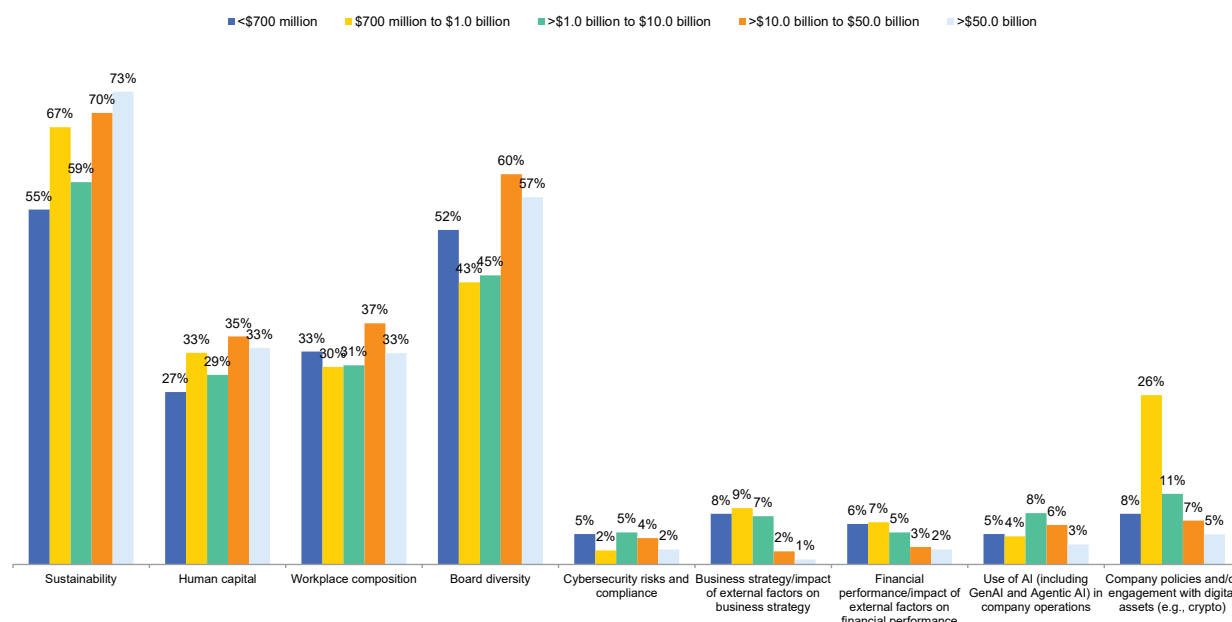
What areas of voluntary disclosure do you see companies in your primary industry scaling back or decreasing over the next 12 months? (Select all that apply)



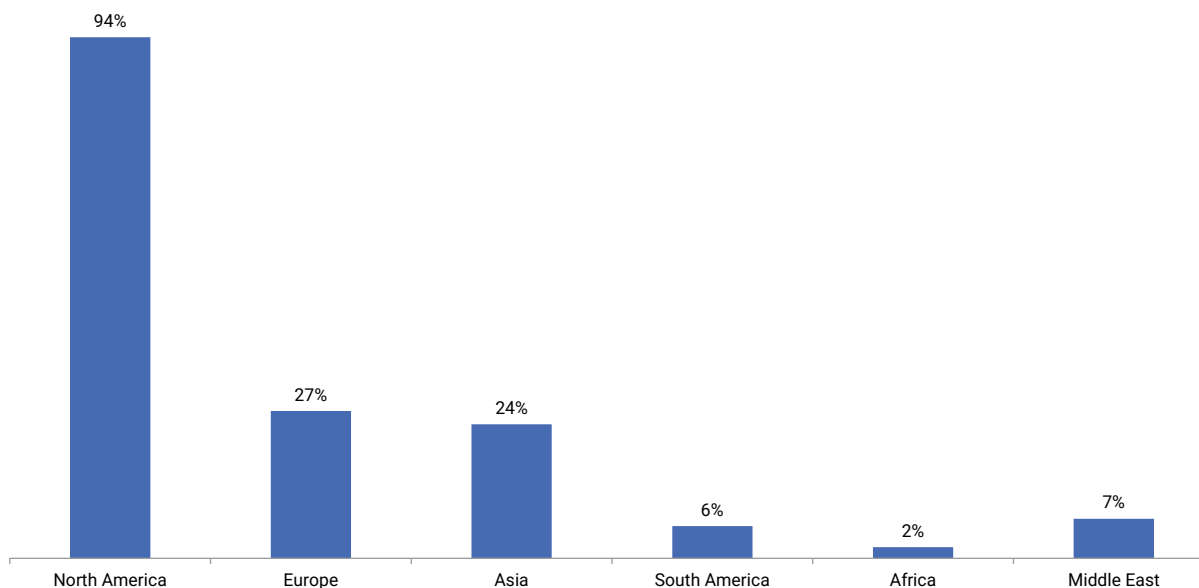
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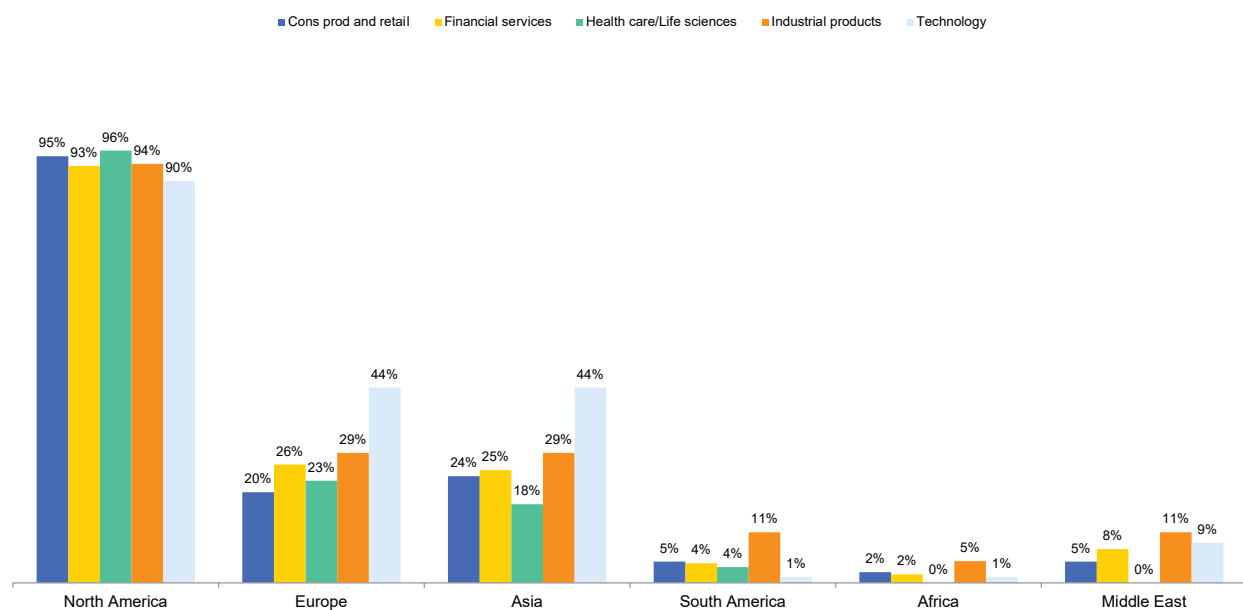
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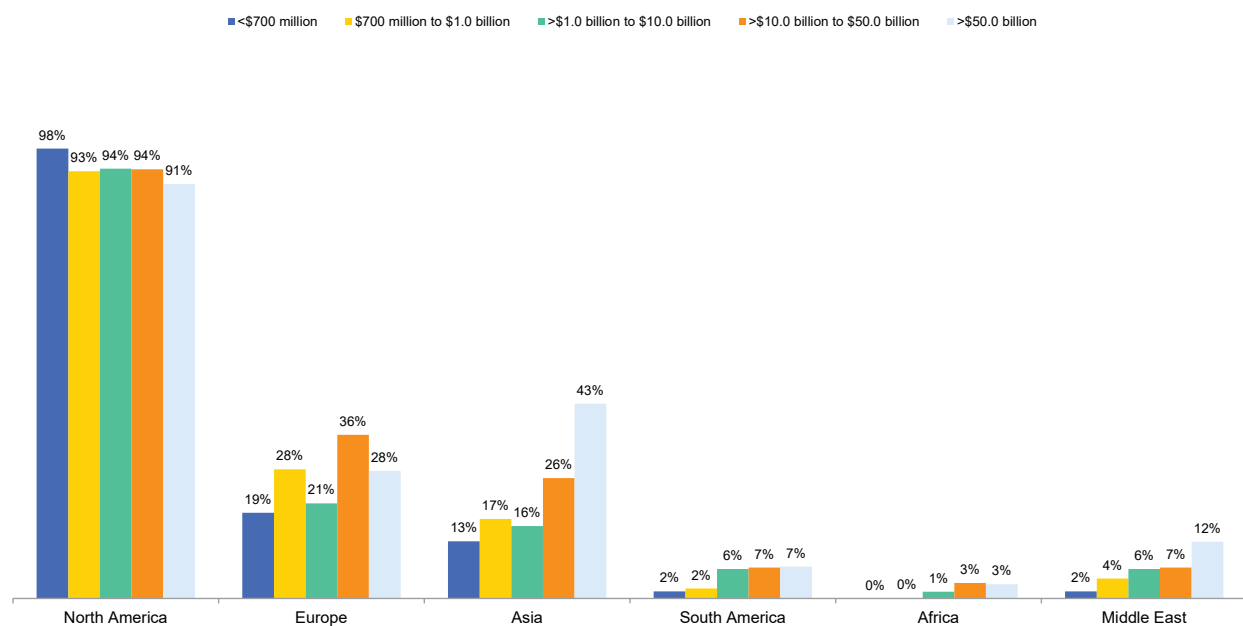
Where are businesses in your primary industry sector focusing their growth strategies? (Select all that apply)



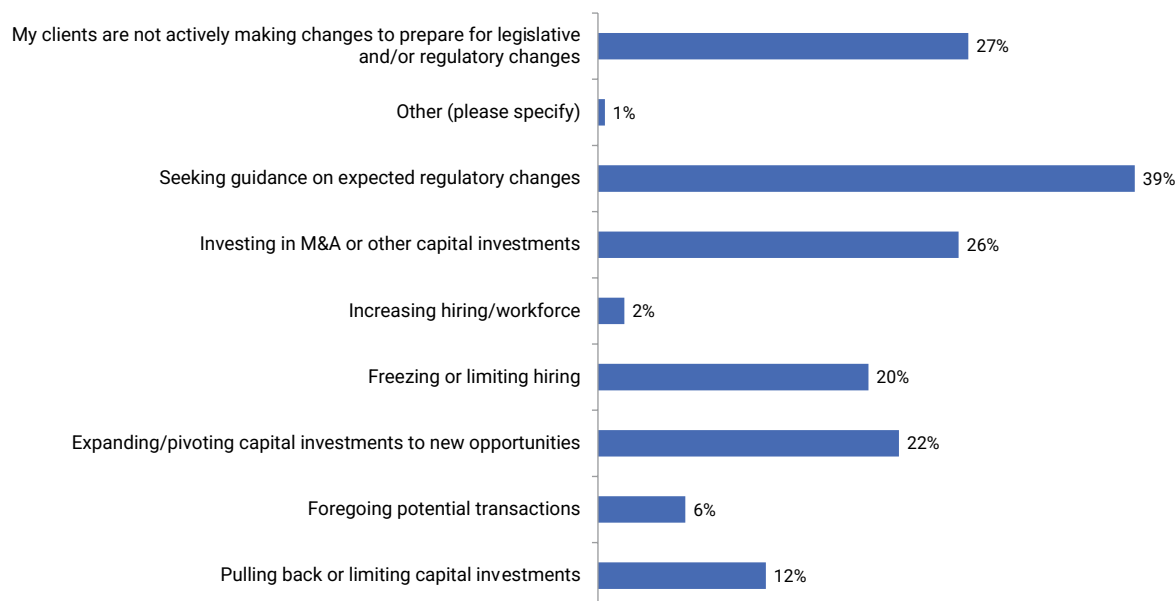
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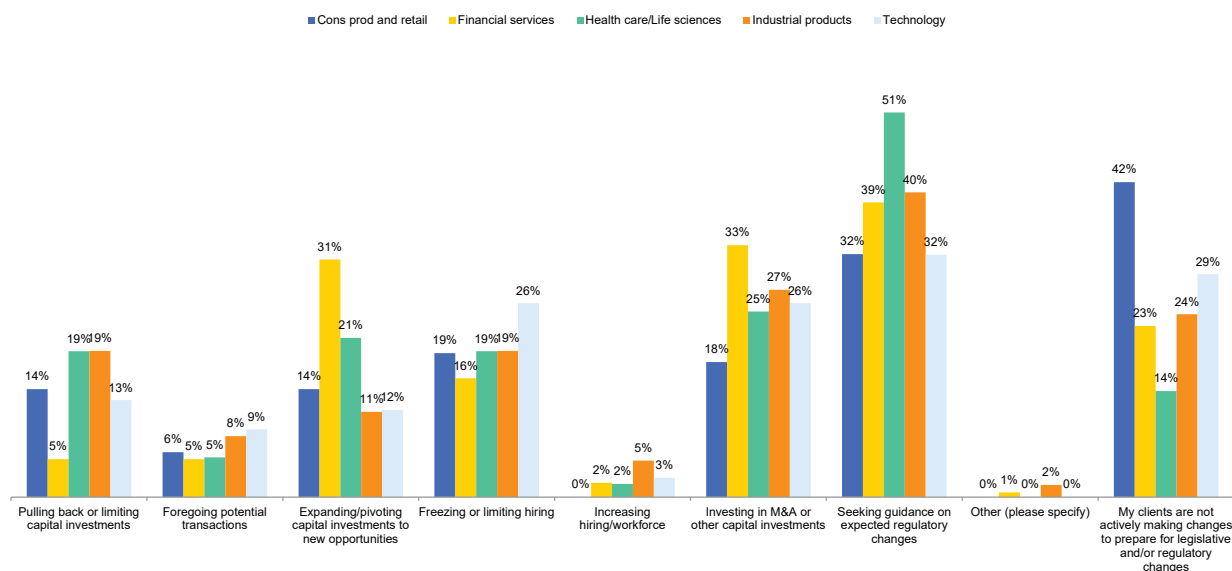
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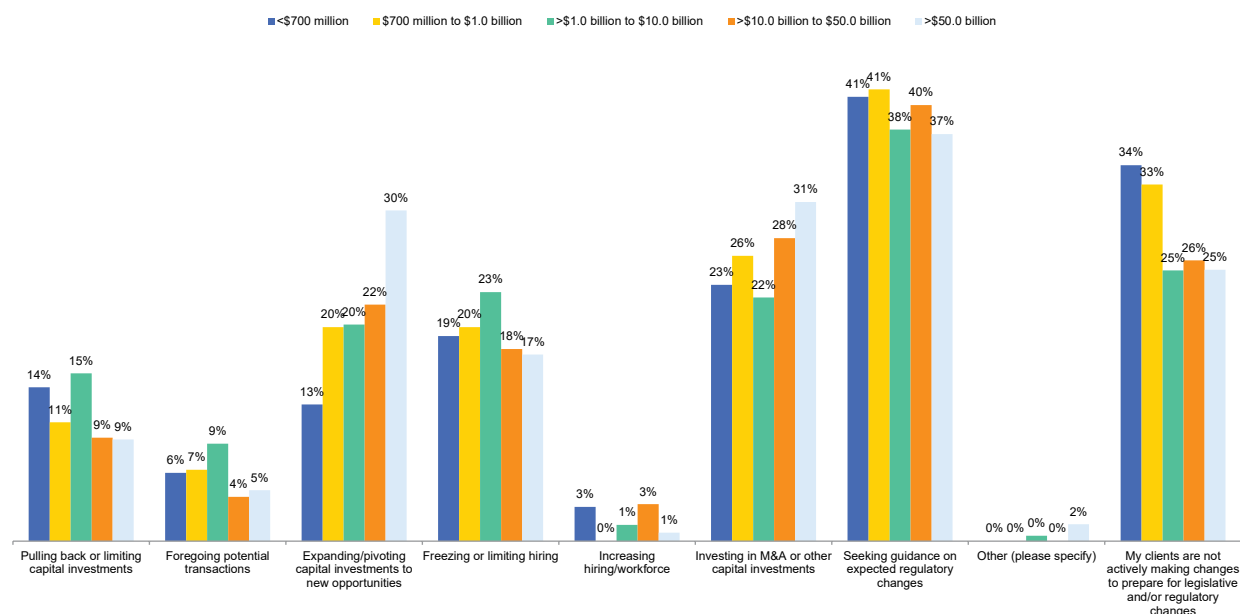
How, if at all, are your clients preparing for legislative and/or regulatory changes potentially impacting capital markets? (Select all that apply)



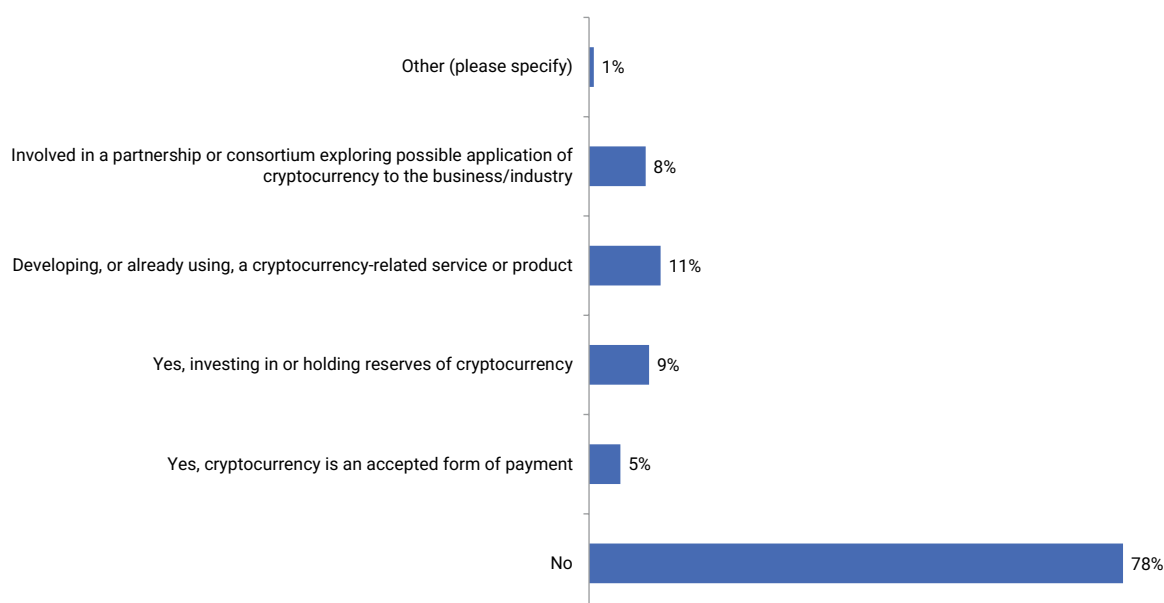
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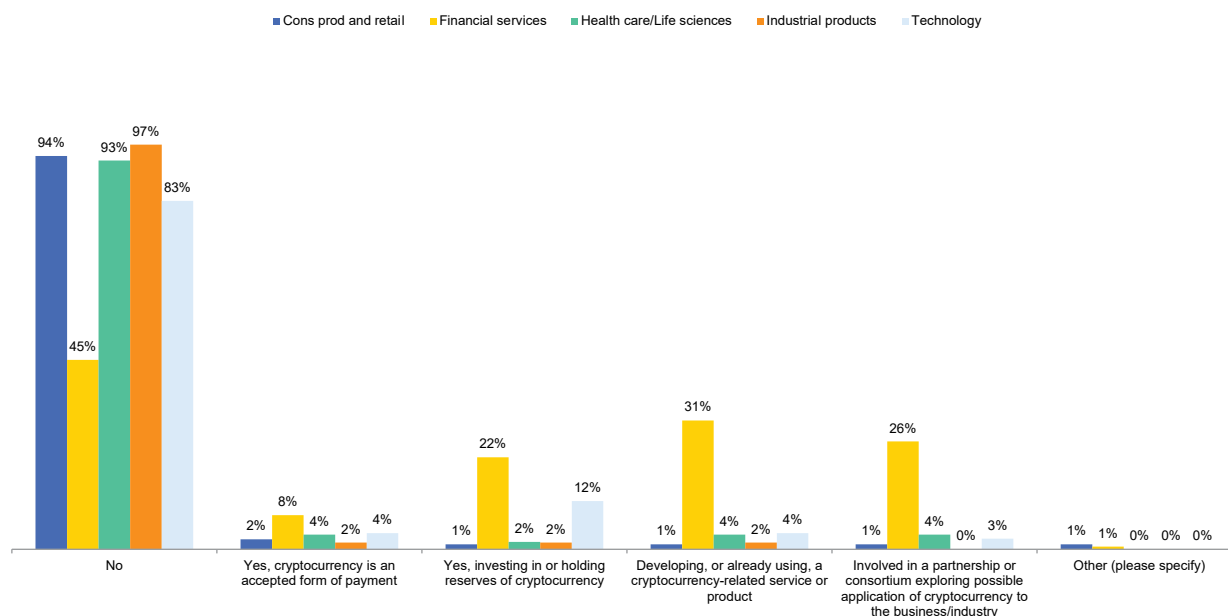
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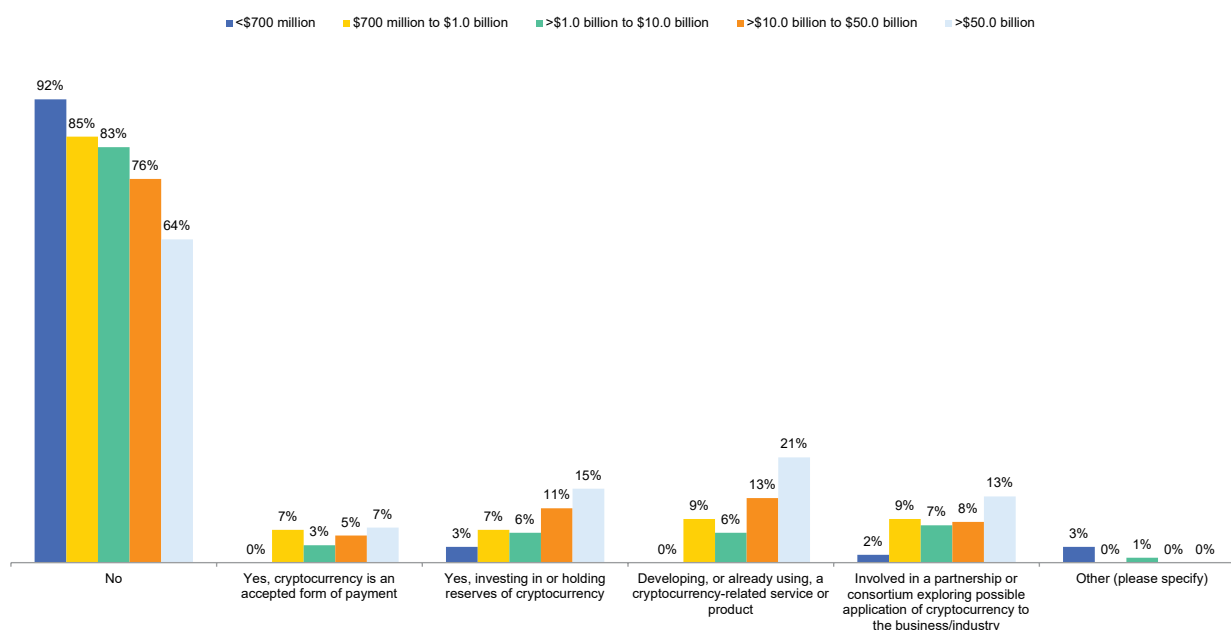
Do clients in your primary industry sector have exposure to digital assets, including cryptocurrency? (Select all that apply)



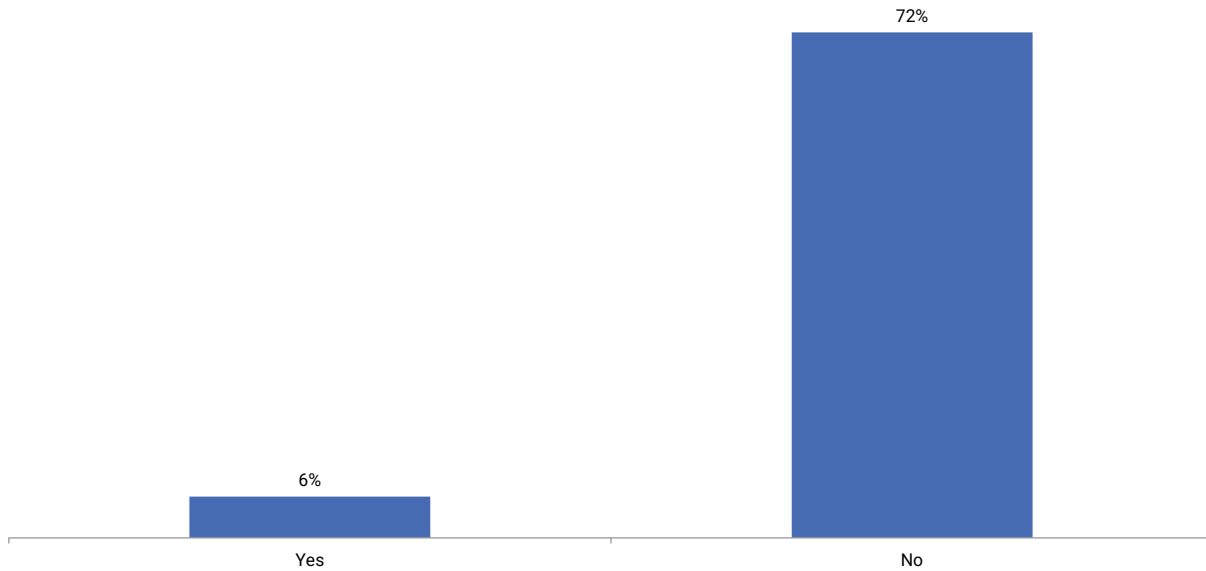
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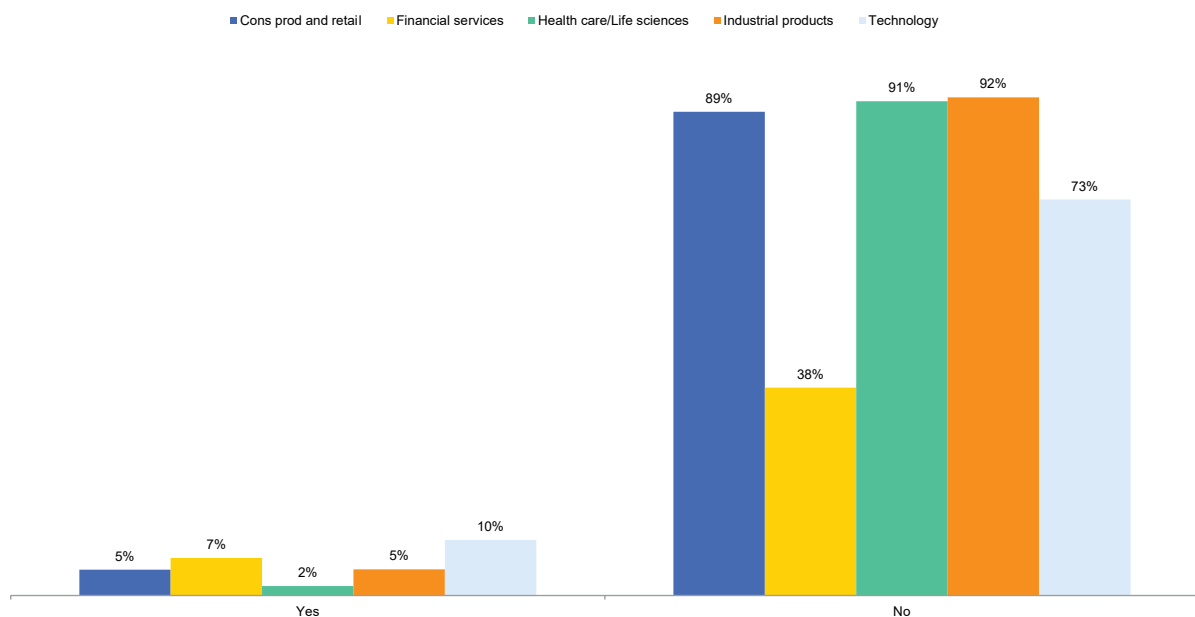
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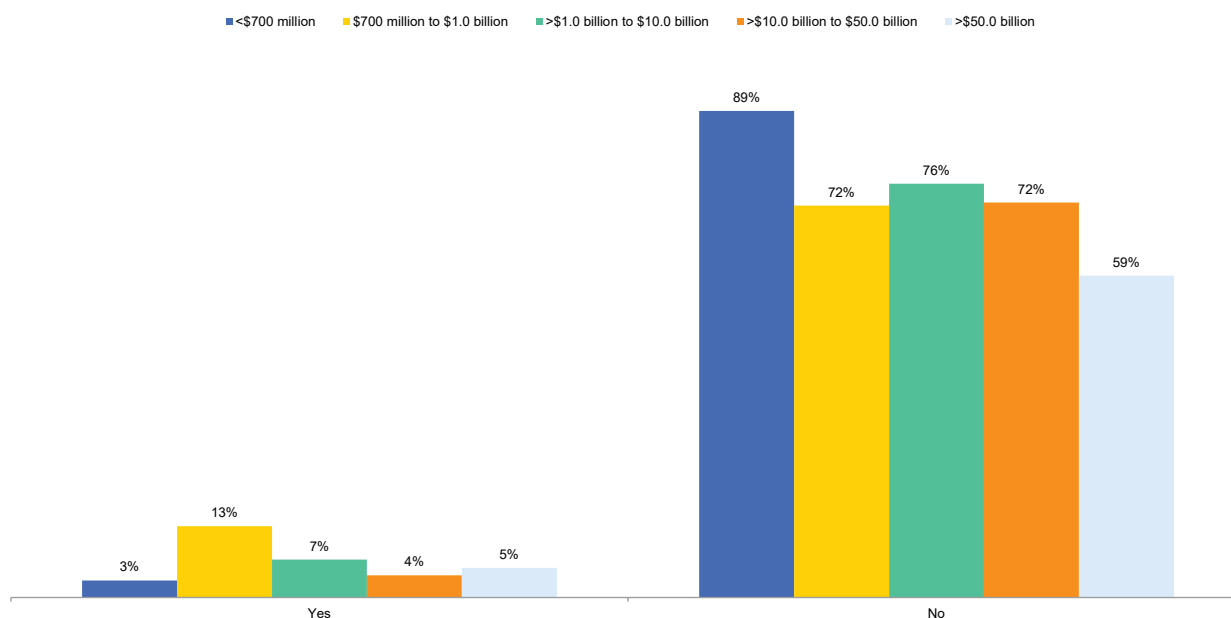
Are clients having conversations with you about potential accounting and reporting implications regarding payments or investments in digital assets, including cryptocurrency?



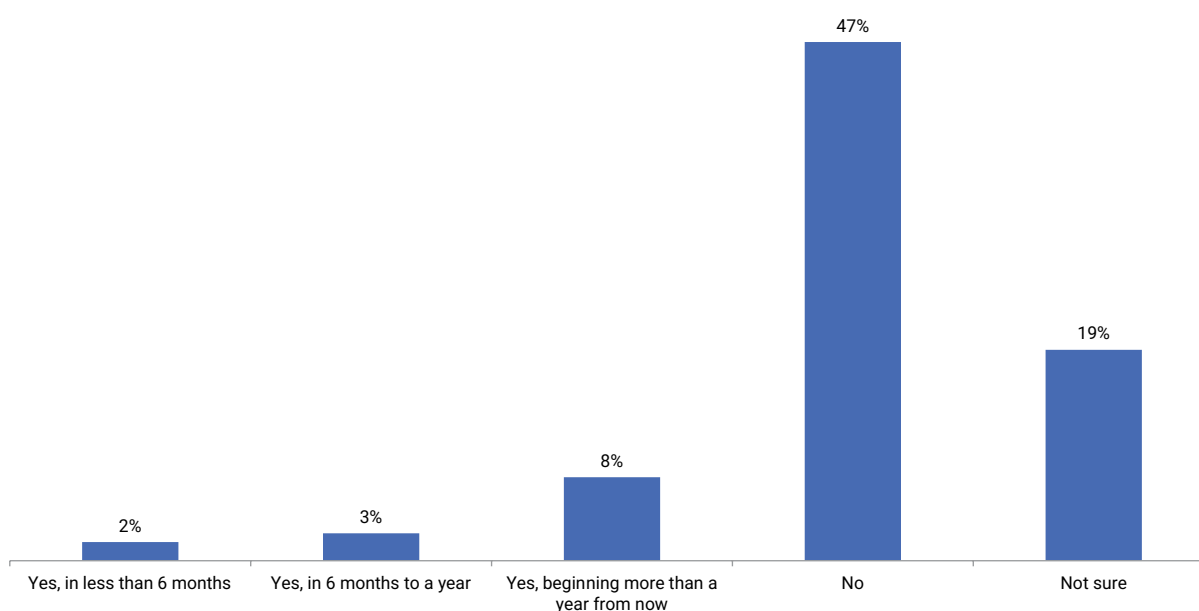
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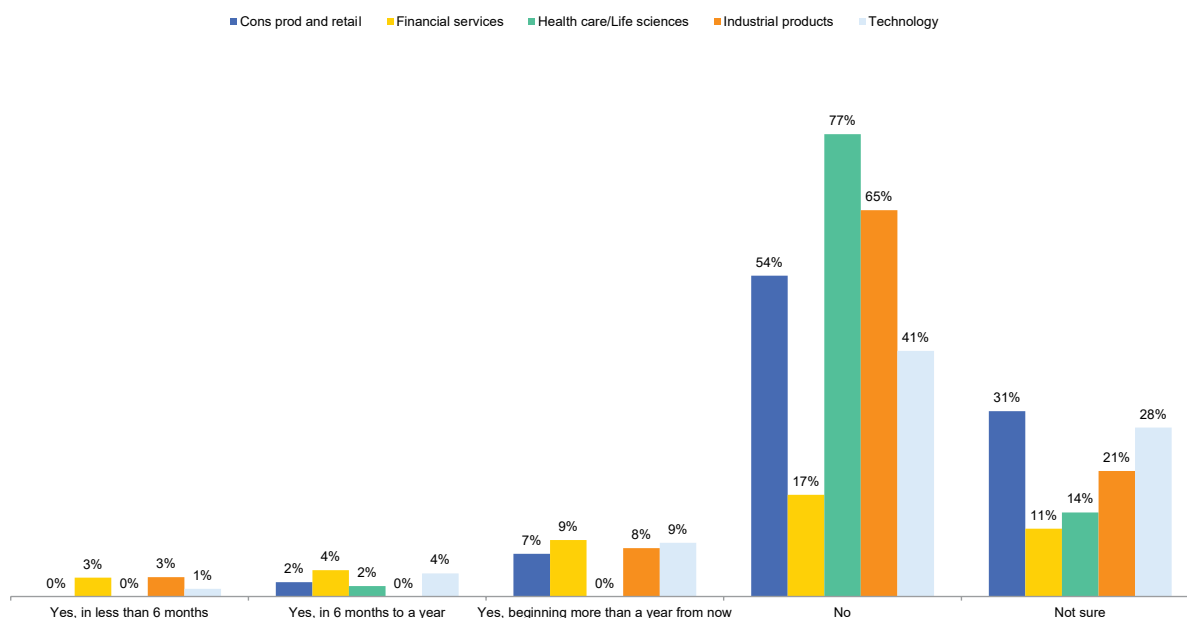
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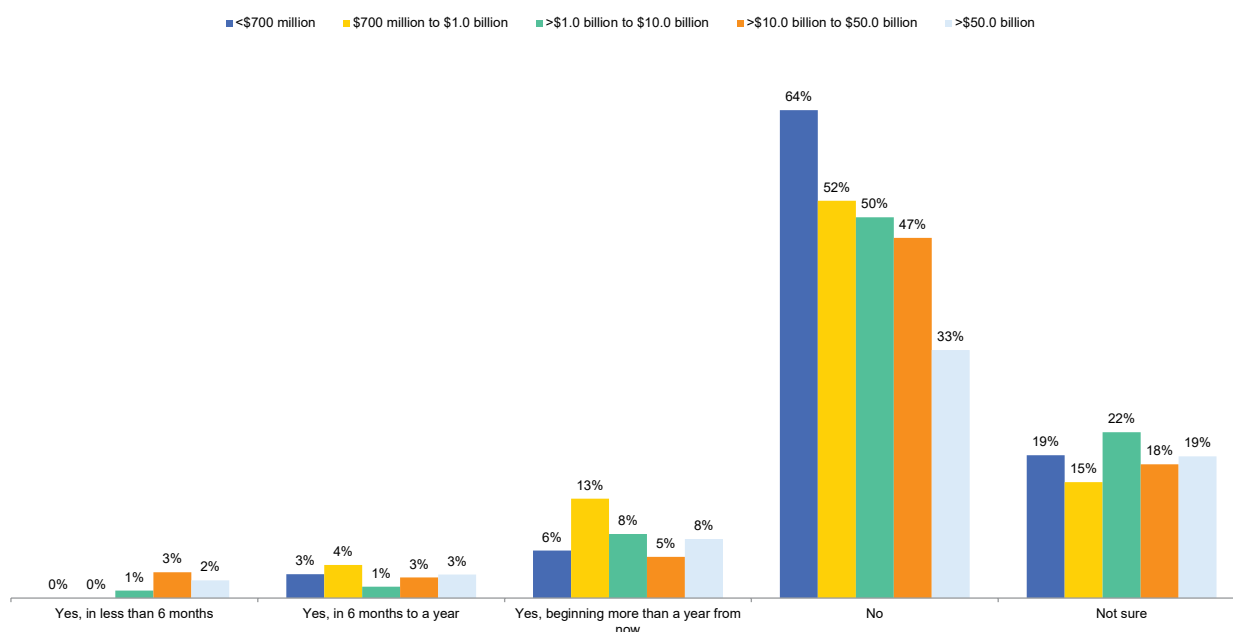
Do you anticipate anyone in your primary industry sector using cryptocurrency and other digital assets for investment, operational, or transactional purposes in the future?



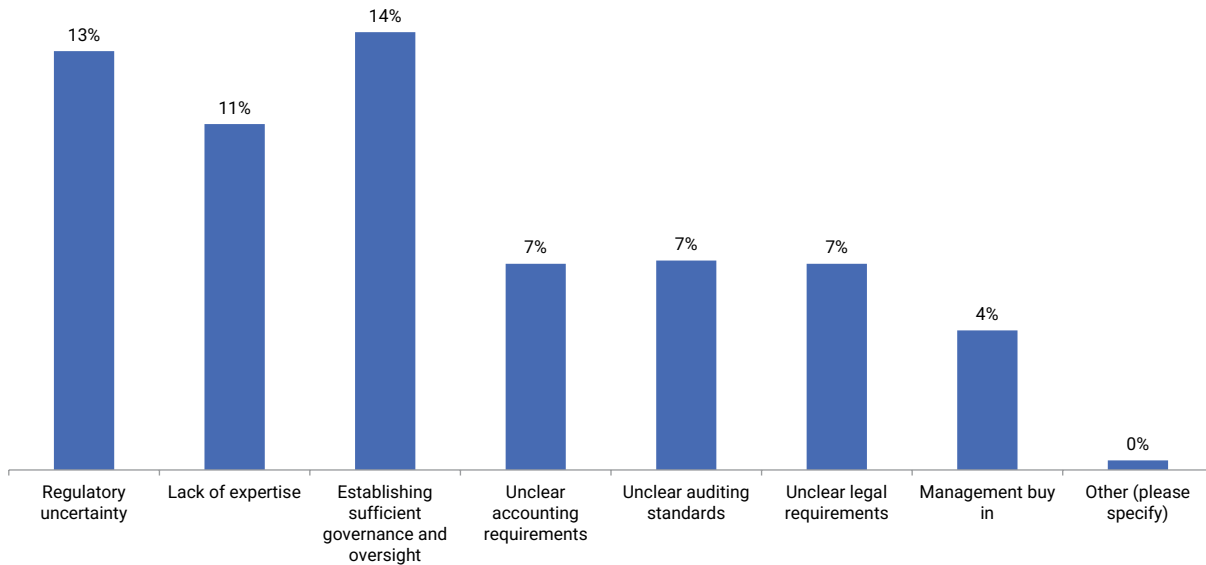
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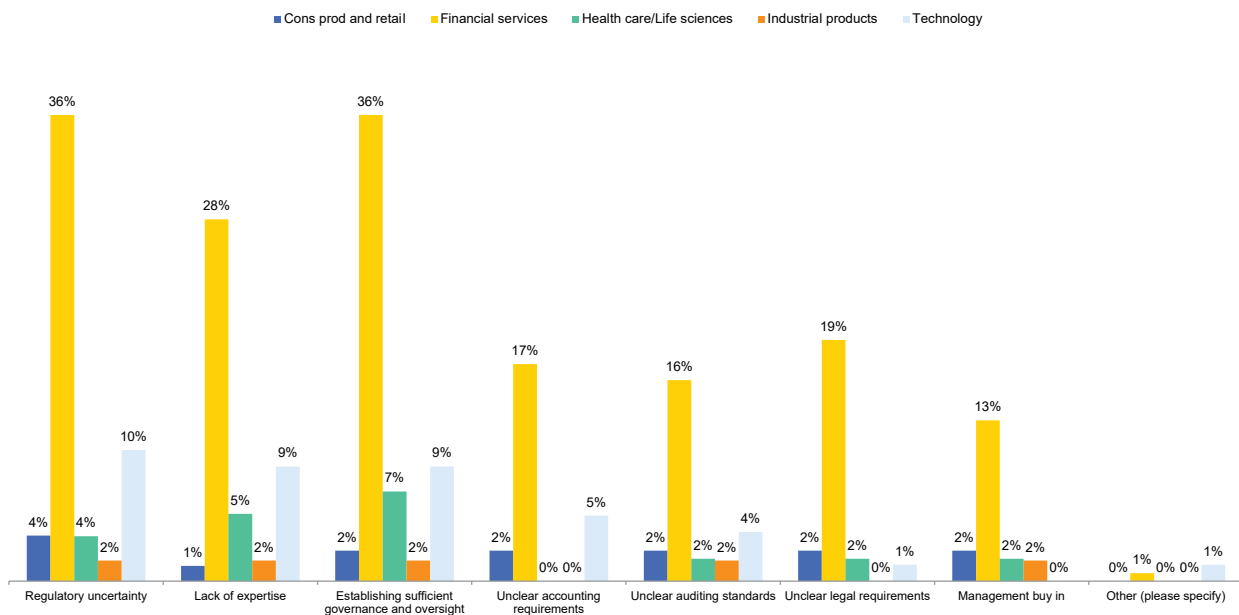
Do you anticipate anyone in your primary industry sector using cryptocurrency and other digital assets for investment, operational, or transactional purposes in the future? (By Market Cap)



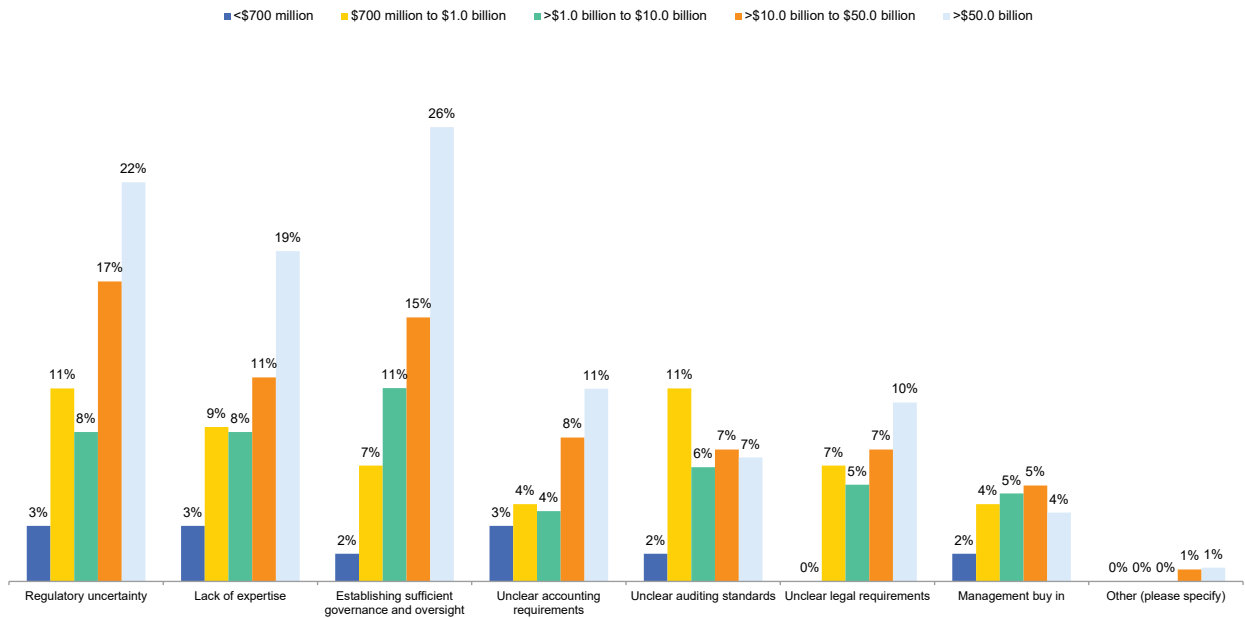
For those companies in your primary industry sector that currently use or you anticipate will use cryptocurrency and other digital assets for investment, operational, or transactional issues, what do you view as their challenges? (Select all that apply)



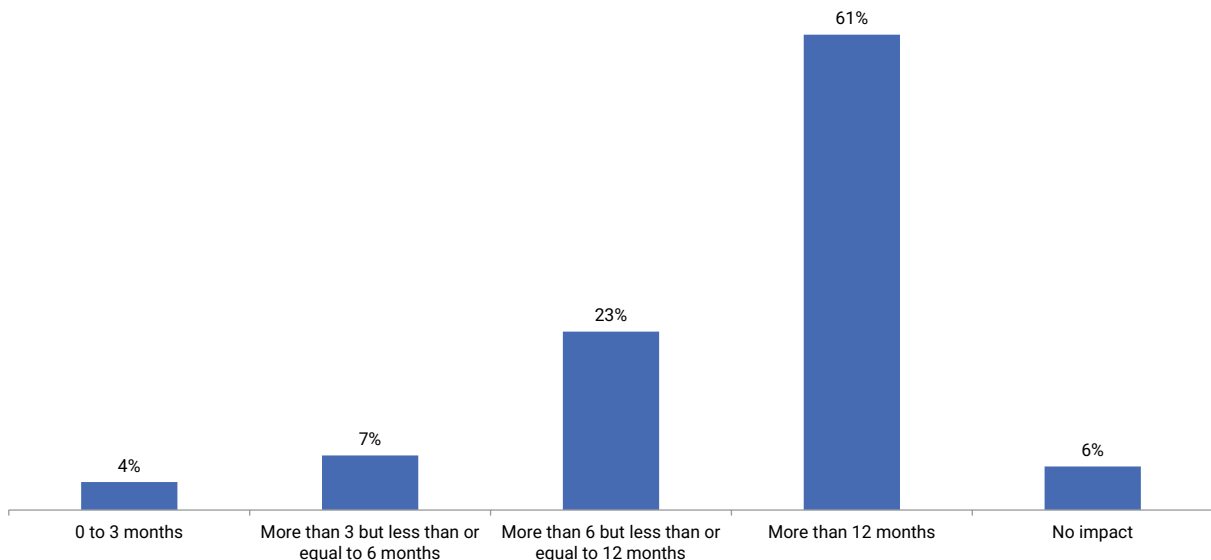
For those companies in your primary industry sector that currently use or you anticipate will use cryptocurrency and other digital assets for investment, operational, or transactional issues, what do you view as their challenges? (Select all that apply) (By Industry)



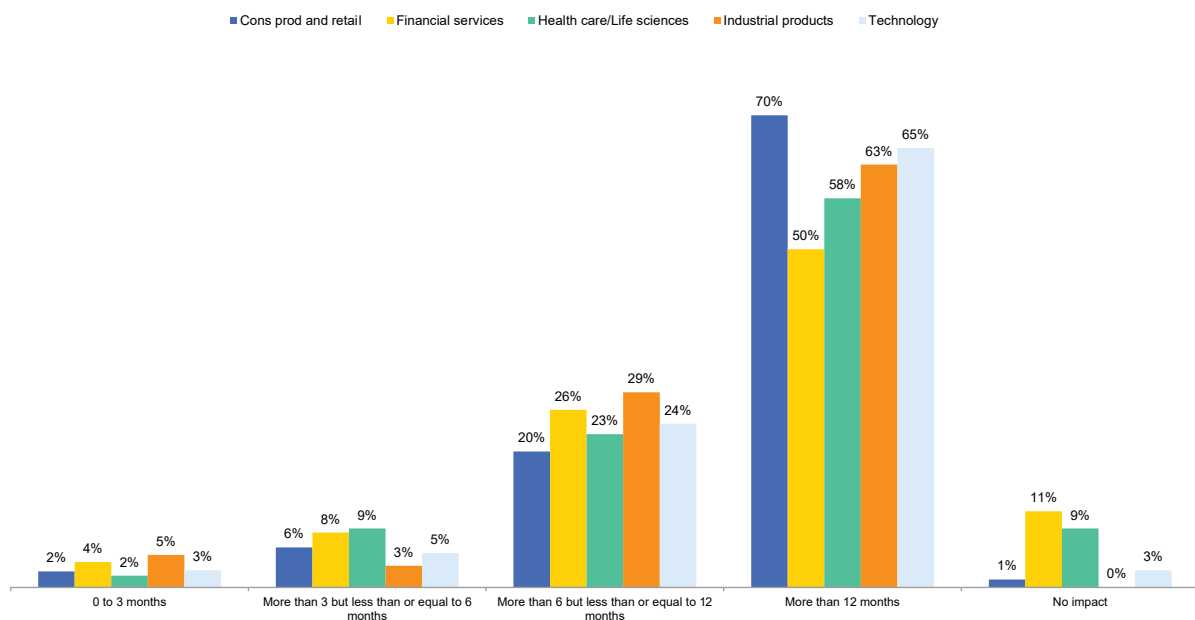
For those companies in your primary industry sector that currently use or you anticipate will use cryptocurrency and other digital assets for investment, operational, or transactional issues, what do you view as their challenges? (Select all that apply) (By Market Cap)



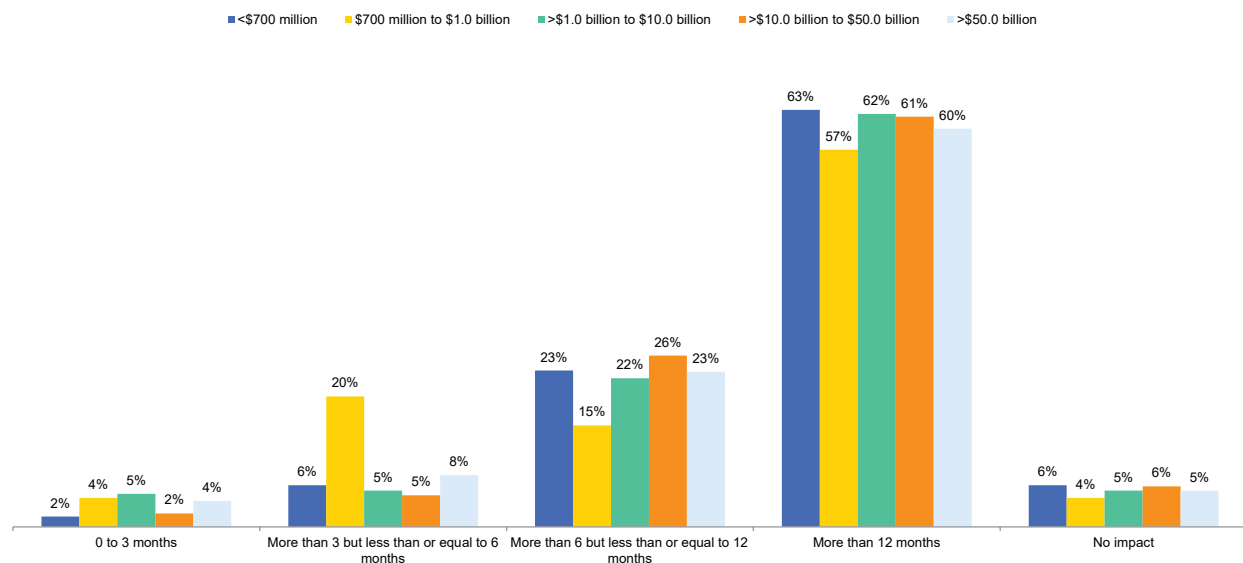
How long, if at all, do you anticipate inflation to have an impact in your industry sector?



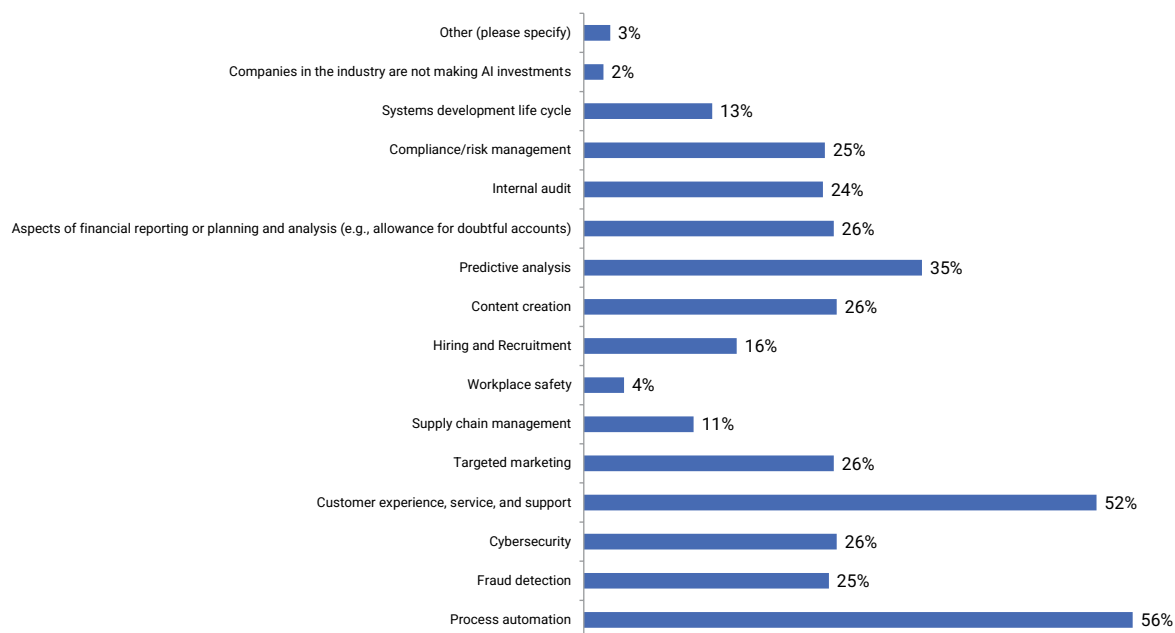
How long, if at all, do you anticipate inflation to have an impact in your industry sector? (By Industry)



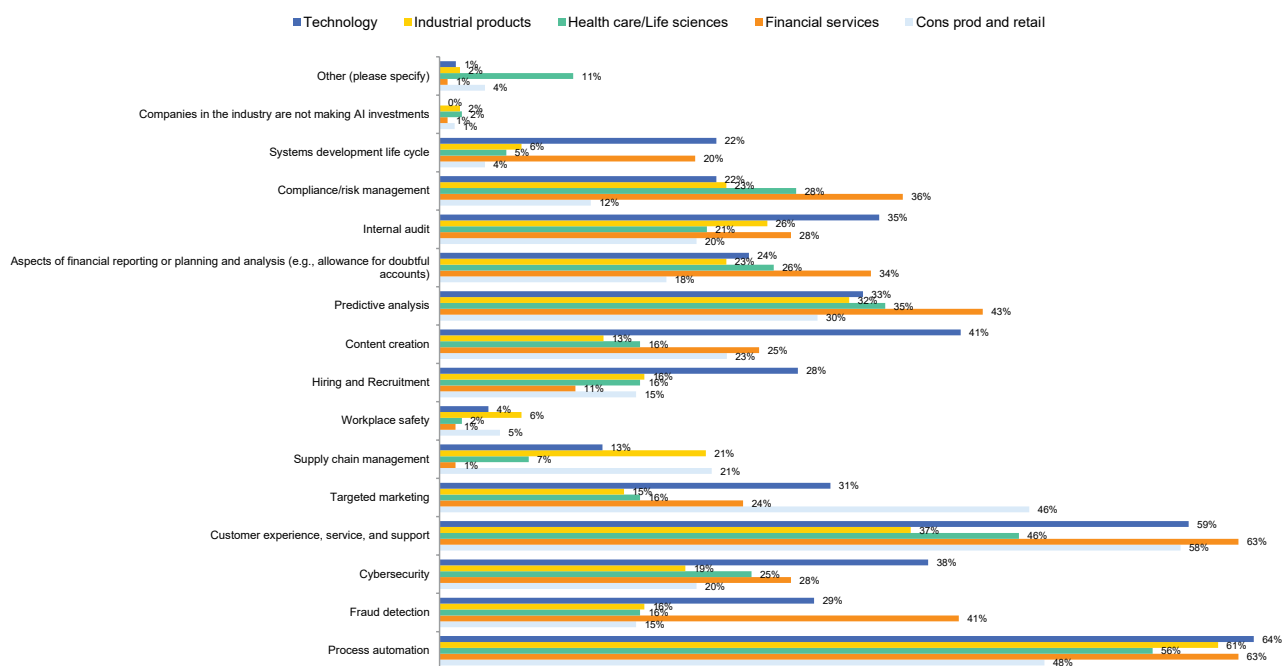
How long, if at all, do you anticipate inflation to have an impact in your industry sector? (By Market Cap)



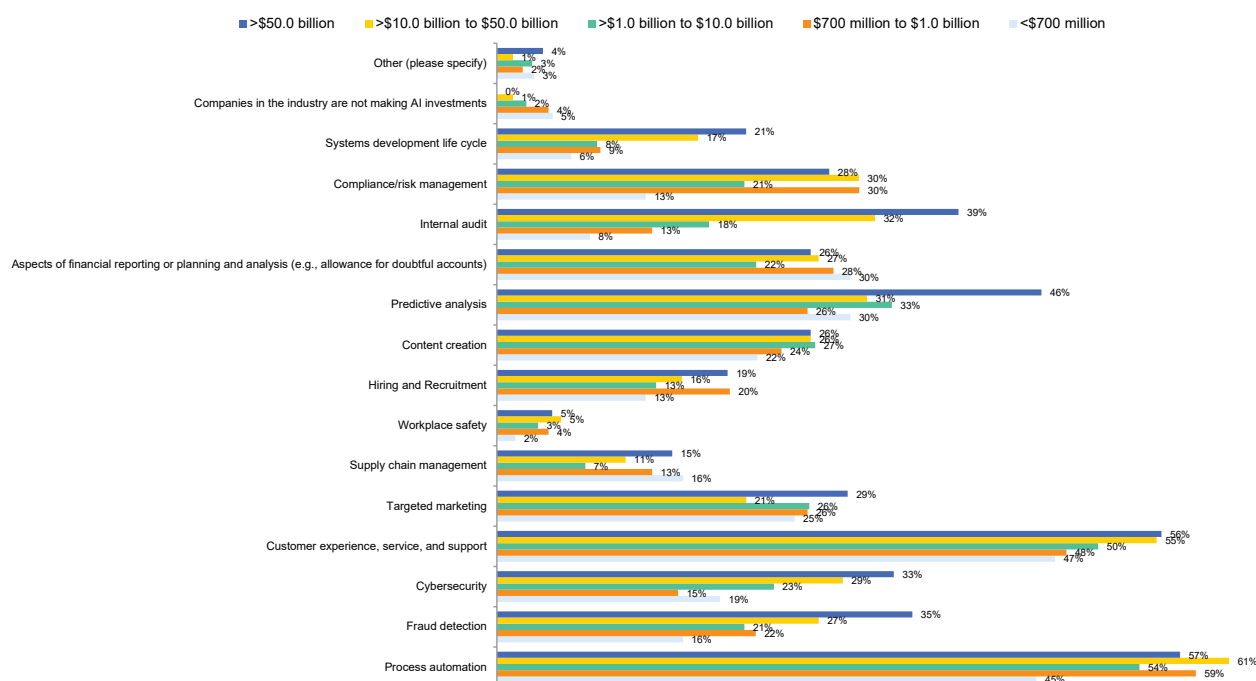
How have companies in your primary industry sector utilized AI technologies? Select all that apply.



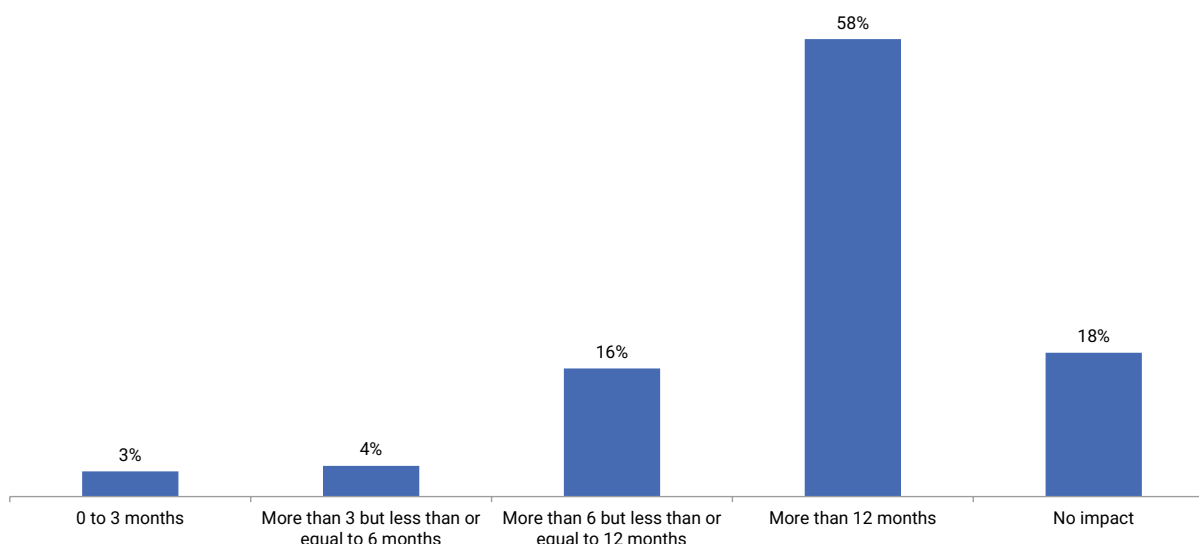
How have companies in your primary industry sector utilized AI (including GenAI and Agentic AI) technologies? (Select all that apply) (By Industry)



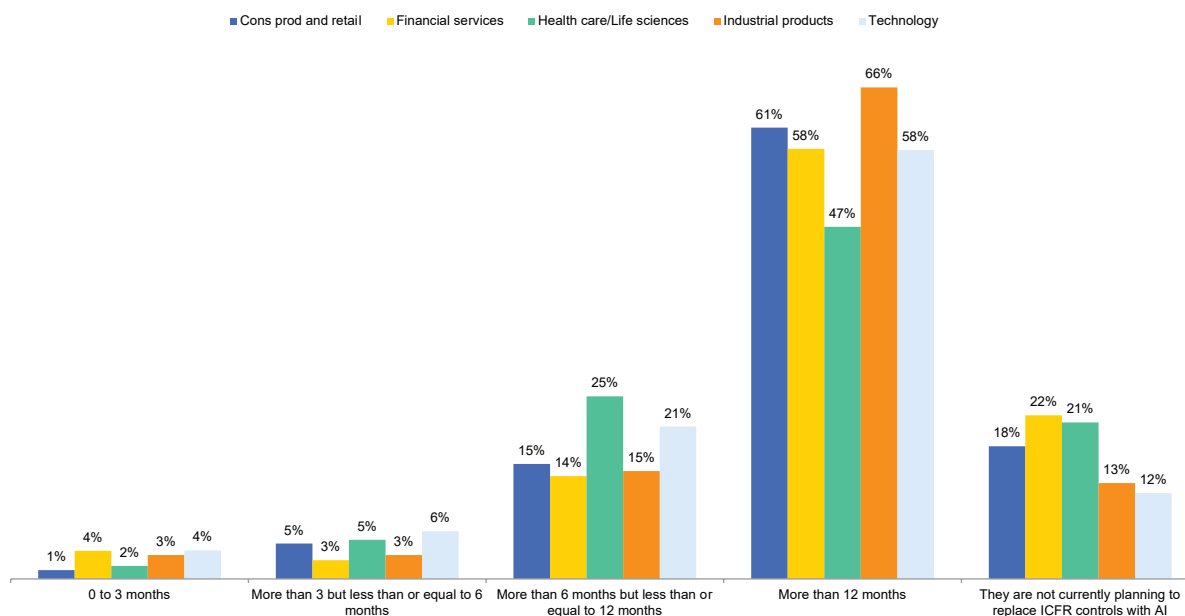
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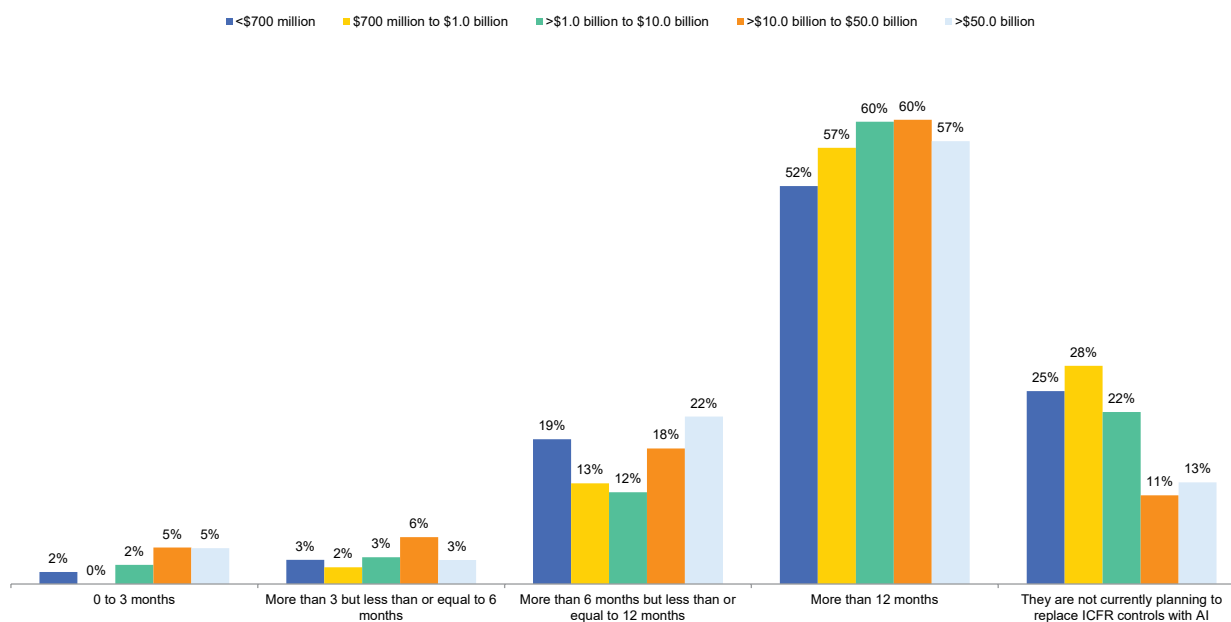
How long do you anticipate it will take for your most advanced clients to rely on AI (including GenAI and Agentic AI) to replace key ICFR controls?



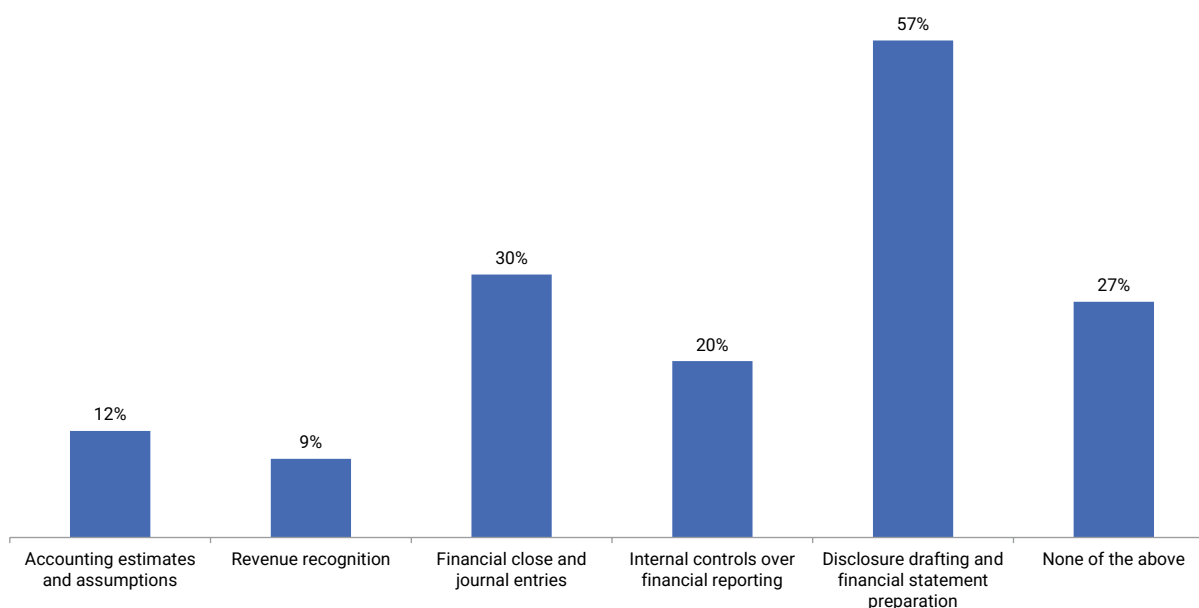
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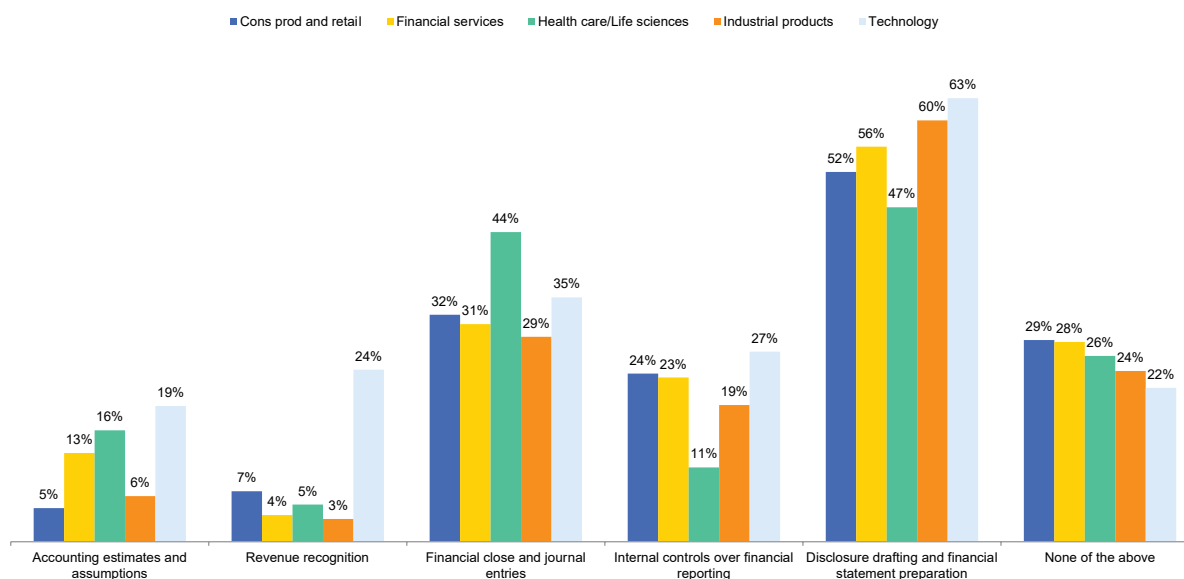
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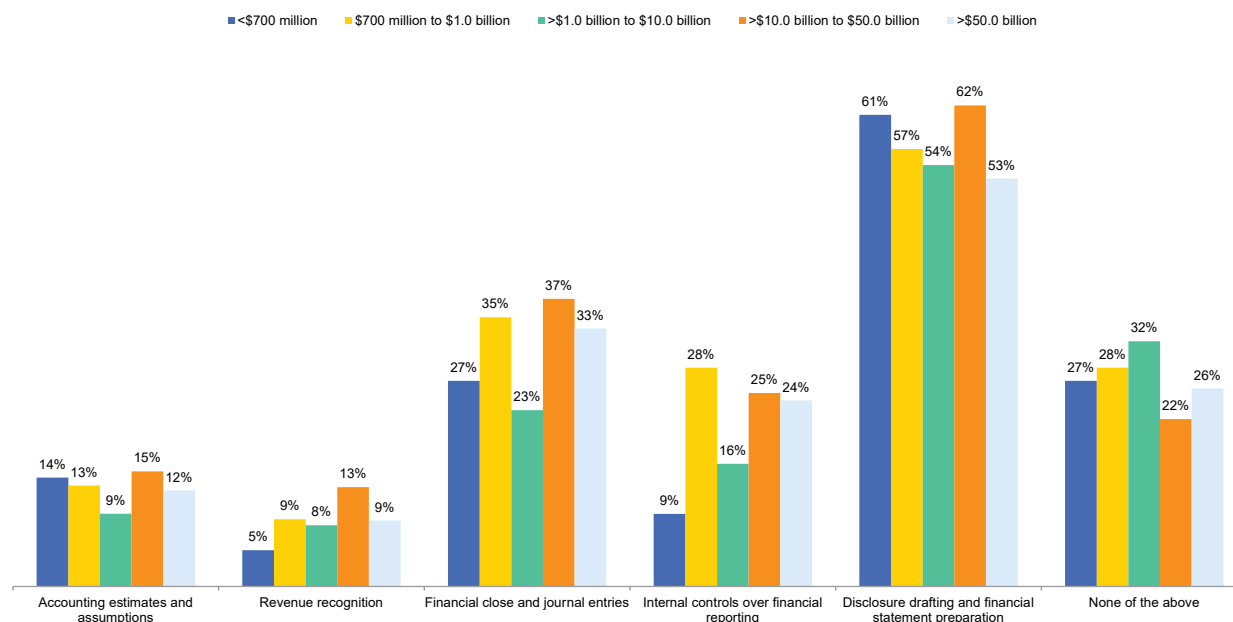
In what areas of judgment in financial reporting do you observe your most advanced clients leveraging AI (including GenAI and Agentic AI)? (Select all that apply)



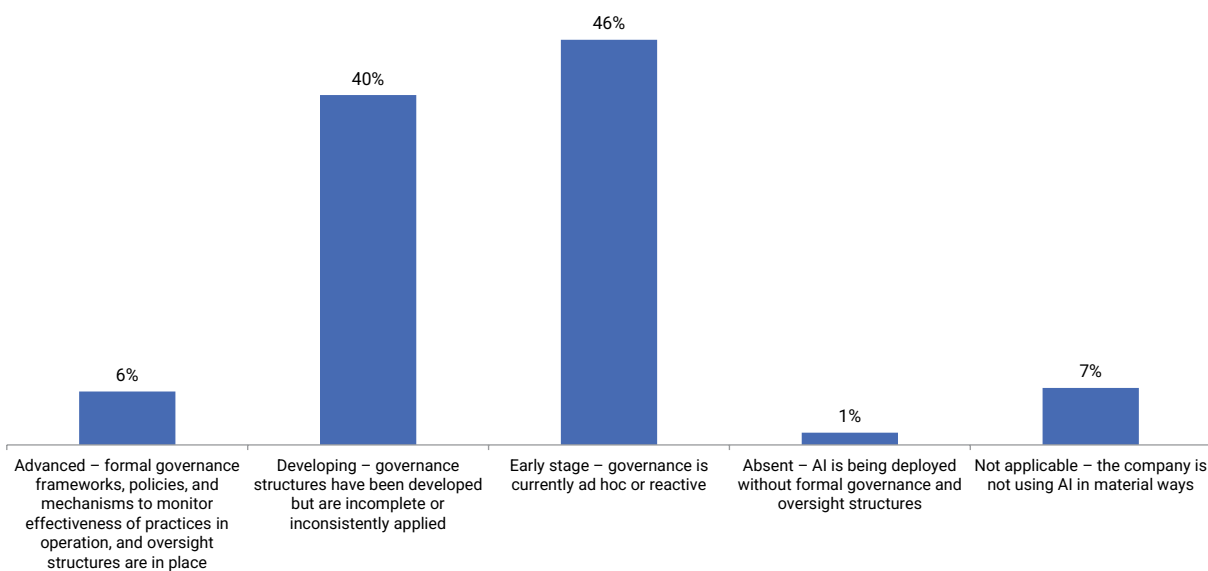
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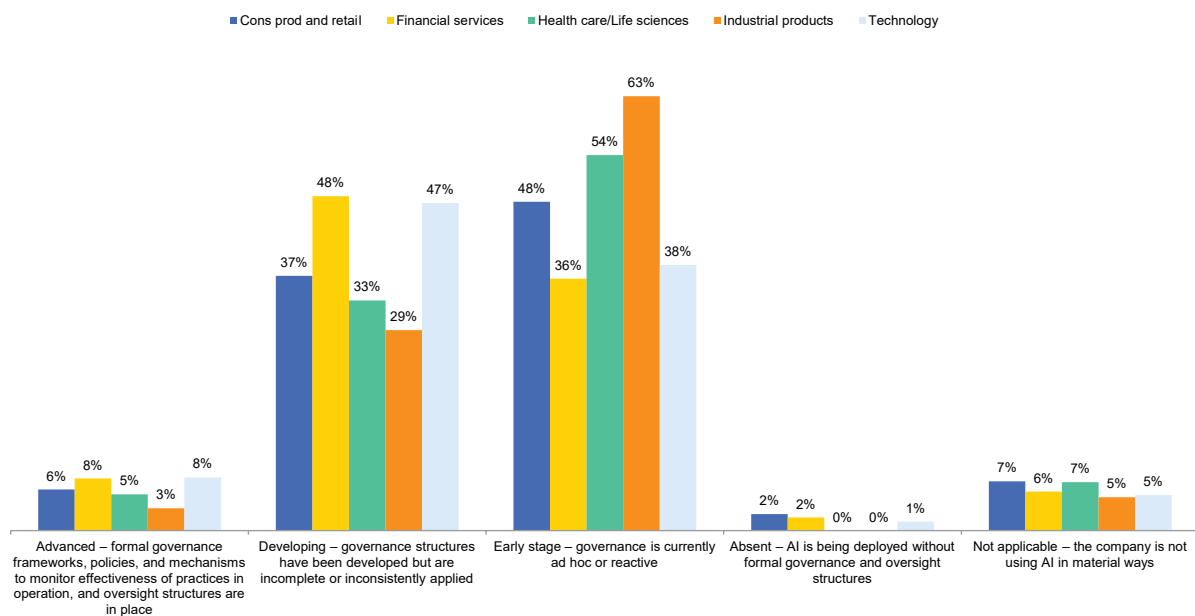
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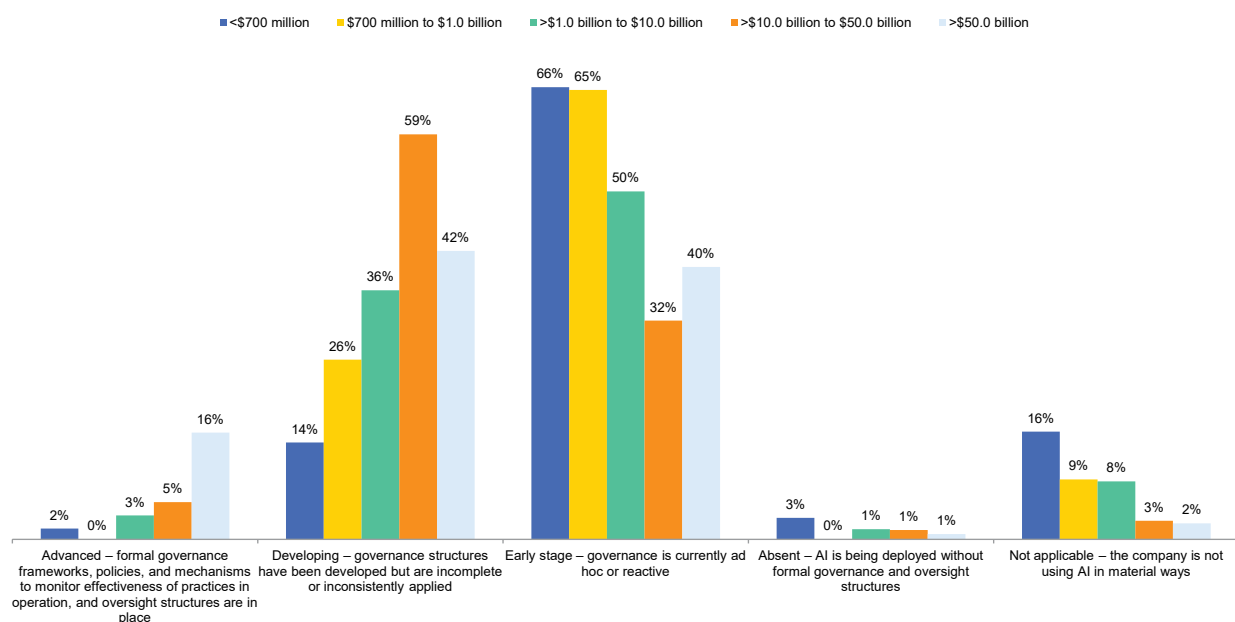
How would you characterize the maturity of AI governance at your largest client?



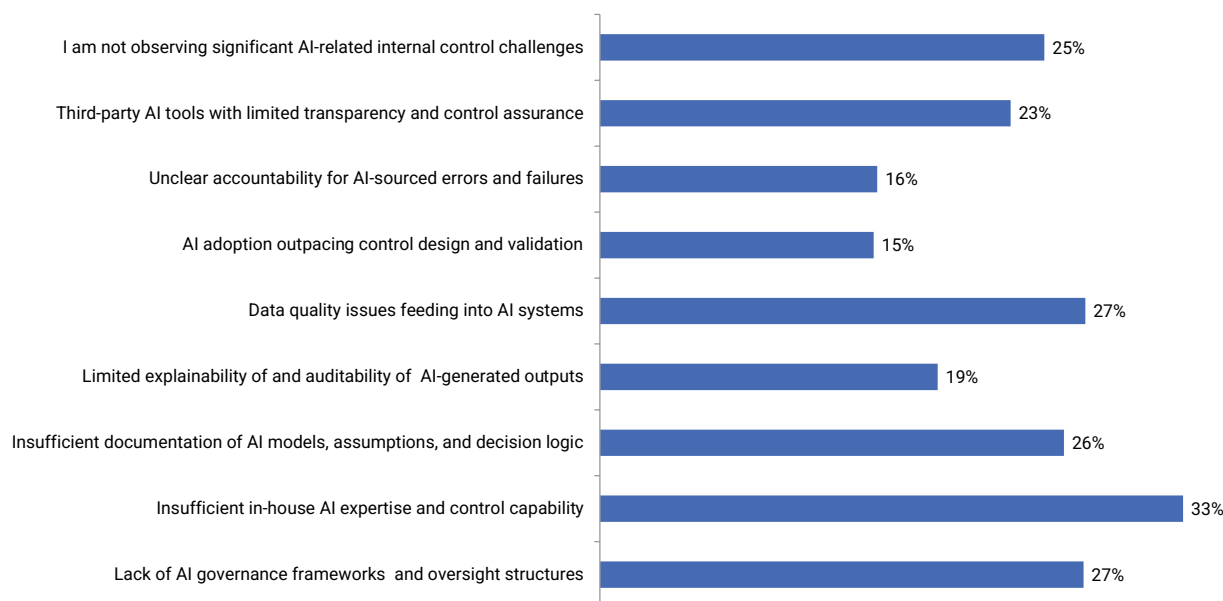
How would you characterize the maturity of AI governance at your largest client? (By Industry)



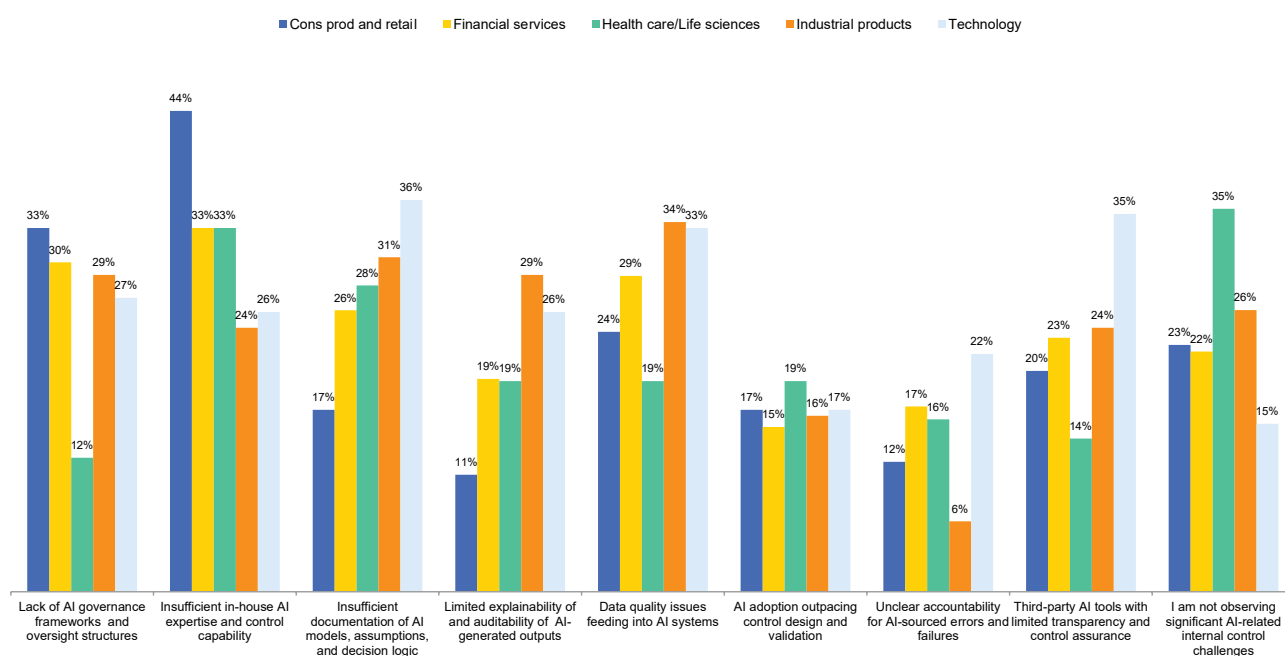
How would you characterize the maturity of AI governance at your largest client? (By Market Cap)



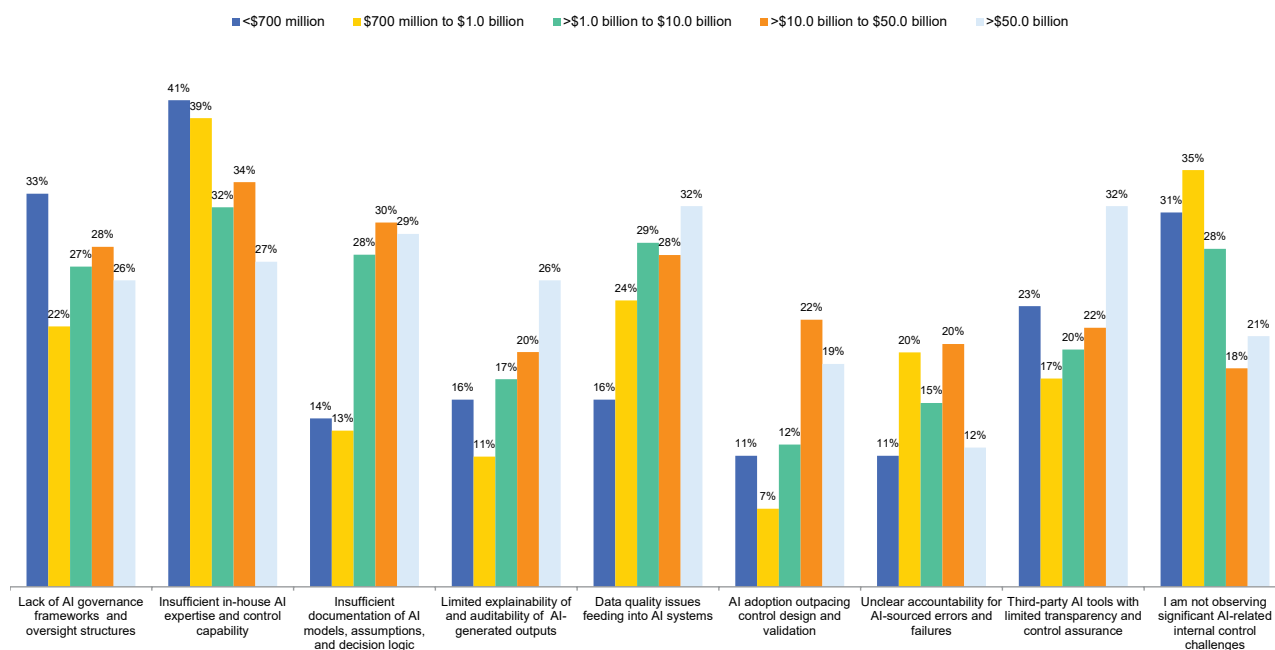
What are the most significant AI-related internal control challenges you are observing at your largest client? Select up to three from the list below.



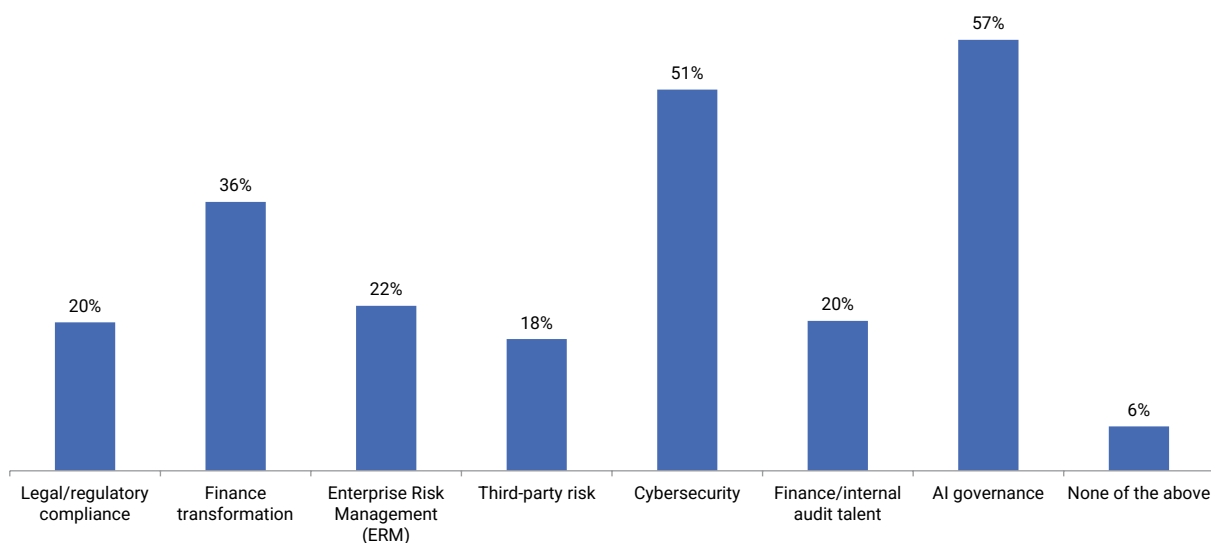
What are the most significant AI-related internal control challenges you are observing at your largest client? (Select up to 3) (By Industry)



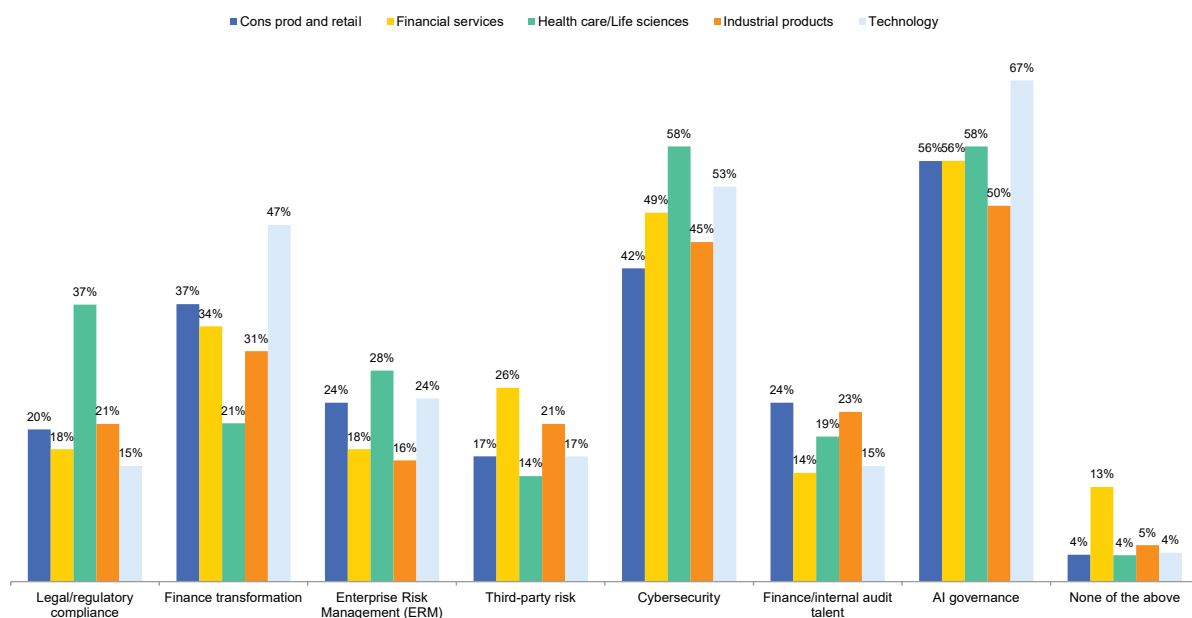
What are the most significant AI-related internal control challenges you are observing at your largest client? (Select up to 3) (By Market Cap)



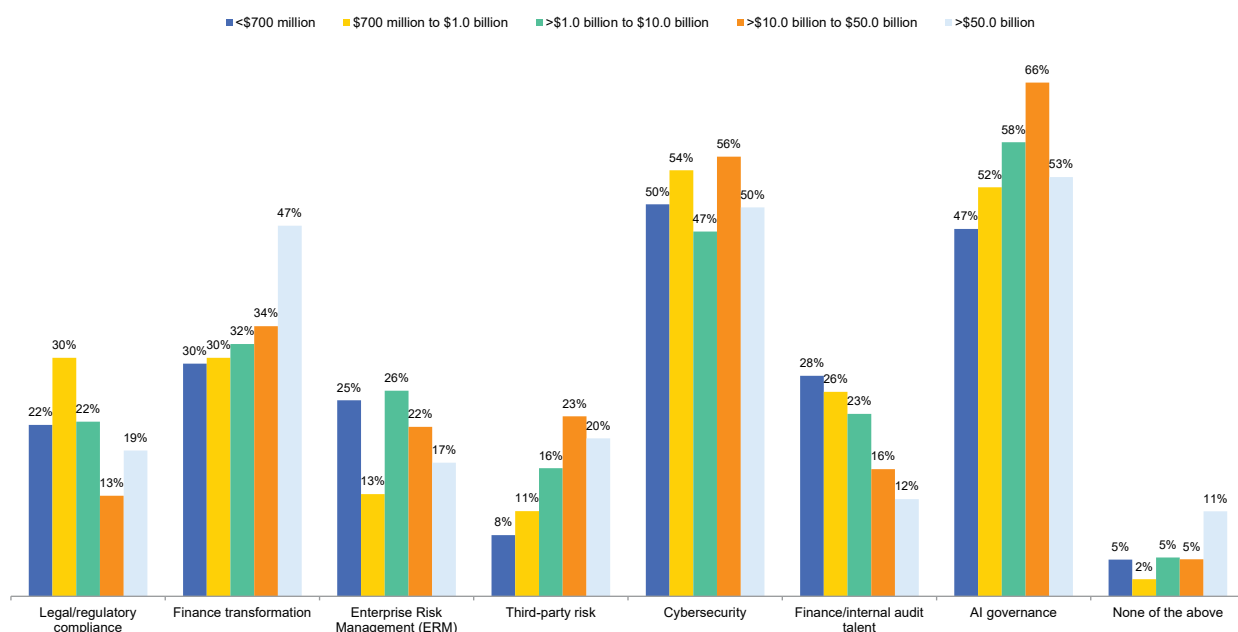
Across the audit committees you work with, which of the following areas are presenting the biggest challenges? Select up to three top challenges below.



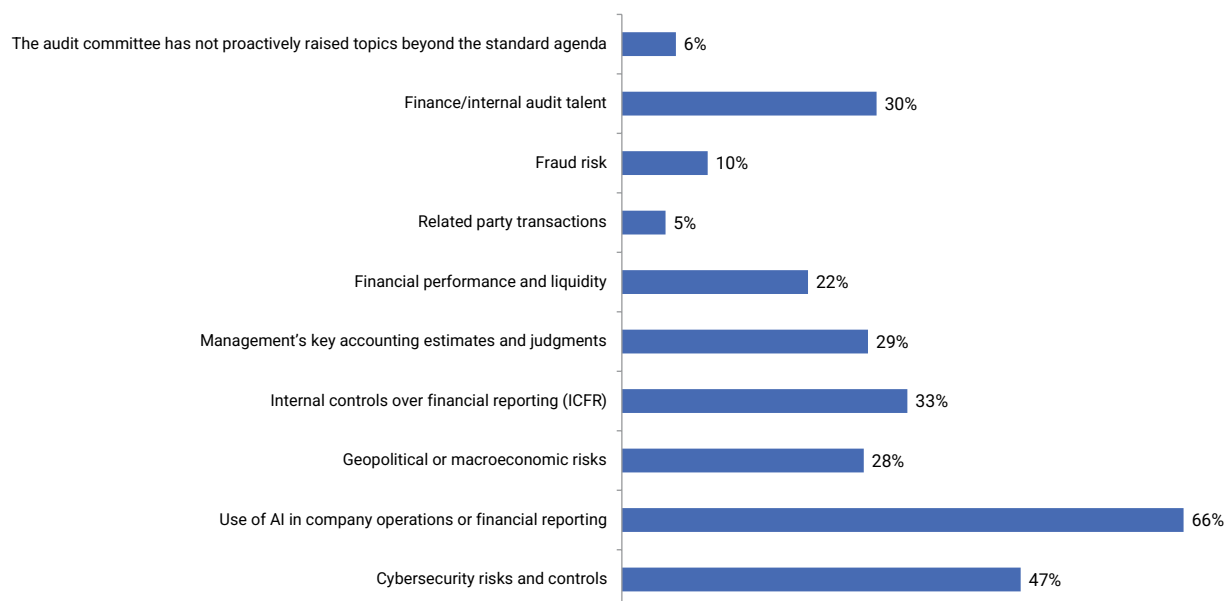
Across the audit committees you work with, which of the following areas are presenting the biggest challenges? (Select up to top 3 top challenges below) (By Industry)



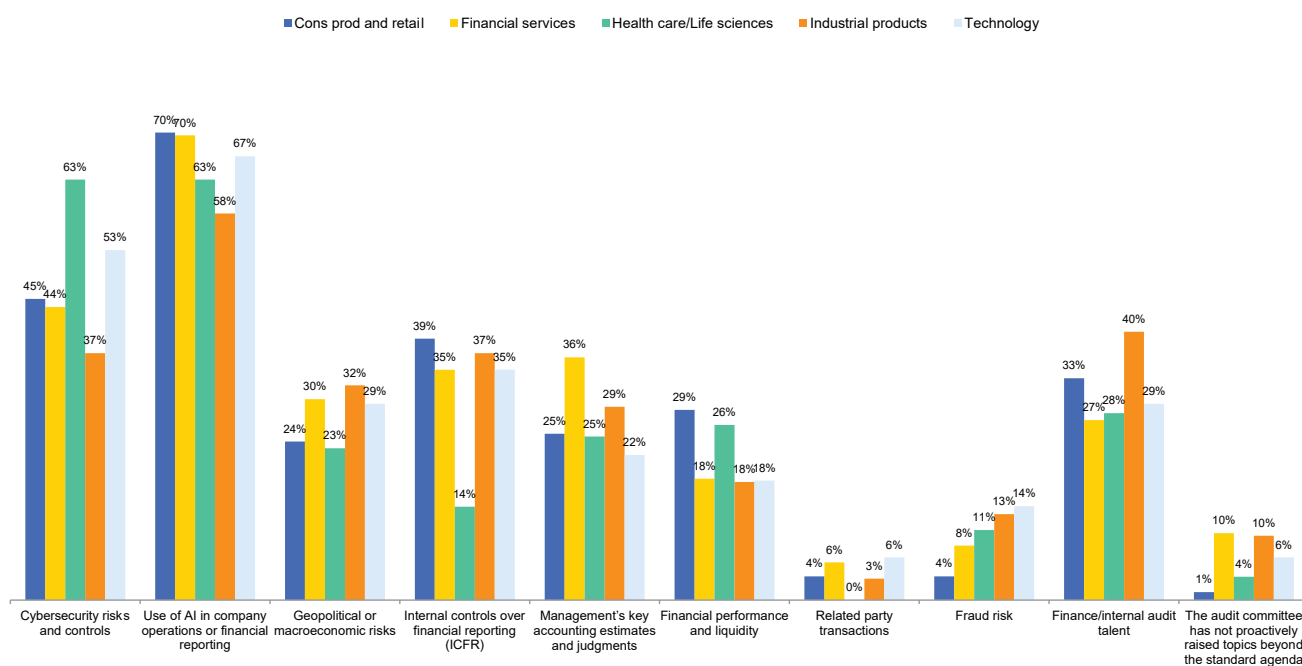
Across the audit committees you work with, which of the following areas are presenting the biggest challenges? (Select up to top 3 top challenges below) (By Market Cap)



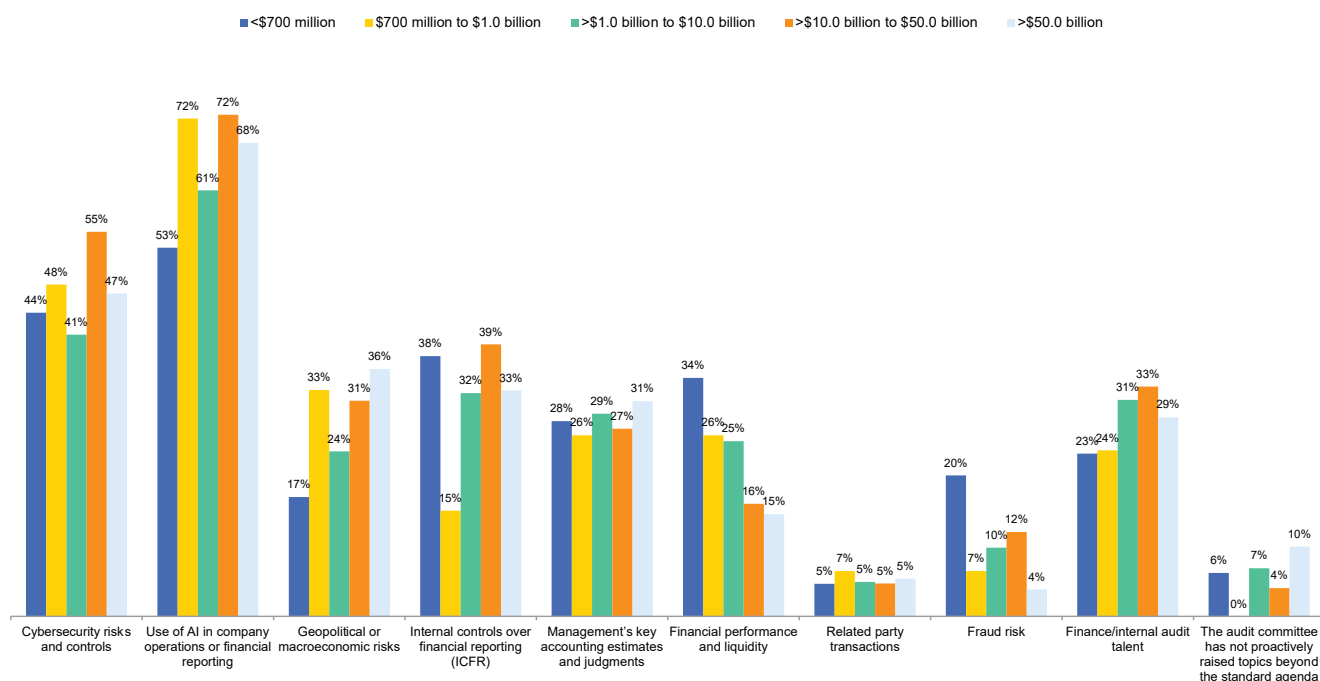
Over the last 12 months, which of the following topics has the audit committee at your largest client proactively raised with you? Select all that apply.



Over the last 12 months, which of the following topics has the audit committee at your largest client proactively raised with you? (Select all that apply) (By Industry)



Over the last 12 months, which of the following topics has the audit committee at your largest client proactively raised with you? (Select all that apply) (By Market Cap)



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